THE COMPLETE BUSINESS KNOWLEDGE ENCYCLOPEDIA

الموسوعة الشاملة للمعرفة في عالم الأعمال

VOLUME 8

Professional Practice — Communication, Deals and Advanced Thinking

الممارسة المهنية — التواصل والصفقات والتفكير المتقدم

Every Essential Business Concept, Term, Process, Document, Financial Instrument, and Commercial Practice You Need to Understand the Real Business World

IN THIS VOLUME

- Part XVII — Business Communication and Professional Fluency
- Part XIX — How Real Commercial Deals Are Structured (15 case studies)
- Part XXII — Advanced Business Thinking

A practical reference for finance and computer-science graduates entering the business world · First edition — October 2026

About this volume

This volume is part of a ten-volume reference collection. Chapter numbers run continuously across the collection, so a reference such as “§47.3” identifies the same section in every volume, in the master index (Volume 10), and in the learning roadmap.

Volume	Title
Vol. 1	Foundations and the Language of Business
Vol. 2	How Businesses Work — Accounting and Financial Statements
Vol. 3	Corporate Finance, Economics and Business Mathematics
Vol. 4	Banking, International Trade and Treasury
Vol. 5	Commercial Operations — Sales, Supply Chain, Insurance and Risk
Vol. 6	Investment, Capital Markets, Commodities and Market Intelligence
Vol. 7	Law, Entrepreneurship, Management and Technology
Vol. 8	**Professional Practice — Communication, Deals and Advanced Thinking**
Vol. 9	Document Library, Master Reference, Exercises and Learning Roadmap
Vol. 10	Master Table of Contents, Glossary and Unified Index

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PART XVII

Business Communication and Professional Fluency

التواصل في الأعمال والطلاقة المهنية

Knowledge creates value only when it is communicated clearly to the right people at the right time. In business, how you write an email, open a meeting, report a delay or disagree with a senior colleague shapes how others judge your competence. This part teaches the language and behaviour expected in professional environments — especially in international business, banking, trade, consulting, sales and management — with templates, model emails, a large phrasebook with Arabic equivalents, and bilingual dialogues.

LEARNING OBJECTIVES · Learning objectives for Part XVII

- Write clear professional emails, commercial and banking correspondence, executive summaries, proposals and reports.
- Run and participate in meetings, calls and presentations effectively; network and introduce yourself professionally.
- Communicate delays, problems, risks and disagreement constructively.
- Use precise professional expressions in English and understand their Arabic equivalents and context.
- Explain complex ideas simply and ask intelligent questions.

Chapters in this part

Chapter 113 Professional Writing: Emails, Commercial Correspondence, Executive Summaries, Proposals and Reports 6
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CHAPTER 113

Professional Writing: Emails, Commercial Correspondence, Executive Summaries, Proposals and Reports

LEARNING OBJECTIVES · In this chapter

Principles of business writing, email structure, templates for common situations (client, supplier, bank, management), executive summaries, proposals and reports.

113.1 Principles

1. **Lead with the point.** State the purpose, conclusion or request in the first two sentences (the "bottom line up front").
2. **Write for the reader.** What do they need to know, decide or do? What do they already know?
3. **Be specific.** Numbers, dates, names, documents, deadlines.
4. **Be concise.** Short paragraphs, bullet points for lists, no filler.
5. **Make actions explicit.** Who does what by when.
6. **Be courteous and neutral.** Firm on substance, polite in tone; avoid emotional language and blame.
7. **Check before sending:** recipients, attachments, numbers, names, tone; never send in anger.

113.2 Email structure

Part	Content	Example
Subject line	Topic + action/status	"Approval needed: revised L/C terms for PO 3317 by 14 May"
Greeting	Appropriate formality	"Dear Mr. Haddad," / "Hi Sara,"
Opening	Purpose in one sentence	"I am writing to request an extension of the latest shipment date under L/C 0451."
Body	Context, key facts, options	Short paragraphs or bullets
Request / next steps	What you need, by when	"Could you confirm by Thursday 16 May?"
Closing	Courteous sign-off	"Kind regards,"
Signature	Name, title, company, contacts	—

COMMON MISTAKES · Common email mistakes

- Vague subject lines ("Question", "Urgent!!!").
- Burying the request in the fifth paragraph.
- Long threads where the decision is lost — summarise the current position.
- Copying too many people, or using reply-all unnecessarily.
- Informal language with external senior contacts or banks.
- Commitments made by email without authority (emails can form or modify contracts).

113.3 Templates

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Email: sending a quotation to a client (template)

Subject: Quotation QT-2026-118 — 120 t galvanised pipe, CFR Dammam

Dear Mr. Al-Otaibi,

Thank you for your enquiry of 3 March. Please find attached our quotation for 120 tonnes of galvanised steel pipe (ASTM A53 Grade B), summarised below:

- Price: USD 905 per tonne CFR Dammam (Incoterms® 2020); total USD 108,600
- Shipment: two lots, May and July
- Payment: 10% advance against advance-payment guarantee; 90% by L/C at 60 days from B/L date
- Validity: 30 days (until 3 April), subject to steel-price movements of more than 5%

Mill test certificates and our product conformity documents are attached. I would be glad to arrange a call to go through the specifications or delivery schedule.

Kind regards,
[Name] · Sales Manager · [Company] · [Phone]

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Email: asking a supplier to correct an error (template)

Subject: Correction needed: commercial invoice PRL-0418 (weight discrepancy) — documents for L/C presentation

Dear Ms. Chen,

Thank you for the shipping documents for order CBT-PO-117. Before presentation to the bank, we noticed that the gross weight on the commercial invoice (10,500 kg) differs from the packing list and bill of lading (10,050 kg).

To avoid a discrepancy under the letter of credit, could you please issue a corrected invoice showing 10,050 kg and send it by courier to [bank] by Friday 26 April? The presentation deadline is 6 May.

Thank you for your prompt help.

Best regards,
[Name] · Import Manager · [Company]

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Email to a bank: requesting an L/C amendment (template)

Subject: Request for amendment — Documentary Credit No. DC-2026-0451 (applicant: [Company])

Dear Sir or Madam,

We kindly request the following amendment to the above documentary credit issued in favour of Siam Breeze Manufacturing Co., Ltd.:

1. Latest date of shipment: from 15 September to 25 September.
2. Expiry date: from 30 September to 15 October.

All other terms and conditions remain unchanged. Our signed amendment application is attached, and the amendment charges may be debited to our account no. [xxxx].

Please let us know if further documentation is required.

Yours faithfully,
[Authorised signatory name and title] · [Company]

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Email: informing a client of a delay (template)

Subject: Delay notice — Order 5521: revised delivery 19 June (previously 12 June)

Dear Ms. Nasser,

I want to inform you early that the delivery of order 5521 will be delayed by one week, to 19 June.

Reason: the vessel carrying the components was re-routed due to port congestion, and arrival moved from 2 June to 9 June.

What we are doing: we have booked priority clearance and reserved assembly capacity so that the remaining steps take five days instead of eight. We can also deliver 40% of the order (the units already in stock) on 12 June if that helps your schedule.

What we need from you: please let us know by Wednesday whether a partial delivery on 12 June is useful.

I apologise for the inconvenience and will update you as soon as the vessel arrives.

Kind regards,
[Name] · Account Manager

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Email: status update to management (template)

Subject: Weekly update — ERP migration (status: AMBER)

Summary: Data migration is one week behind plan; go-live date (1 September) is still achievable if we approve two additional contractors by Friday.

Progress: chart of accounts and vendor master migrated (100%); customer master 80%; open orders 40%.

Issues: 1,200 duplicate customer records found; cleansing requires extra effort.

Decision needed: approve 2 contractors for 4 weeks (USD 18,000, within contingency).

Next week: complete customer master; start user acceptance testing.

[Name] · Project Manager

113.4 Executive summaries

An executive summary should allow a senior reader to make a decision without reading further. Structure (often called SCQA or pyramid): **Situation** (context), **Complication** (problem/opportunity), **Question** (what must be decided), **Answer** (recommendation), followed by key supporting points and the decision requested.

> **WORKED EXAMPLE · Executive summary (fictional)**
>
> "**Recommendation:** approve a $2.2m cold-storage warehouse in Dammam. **Why:** we rent third-party cold storage at rising rates ($0.65m/year, +18% in two years) and turn away third-party clients for lack of capacity. The project has an NPV of $0.28m at our 11% hurdle (IRR 15.5%) and payback in 3.7 years. **Key risk:** occupancy of third-party space; mitigated by pre-letting 50% before construction. **Decision requested:** board approval on 20 May to start construction in July."

113.5 Proposals and reports

Proposals are covered in Chapter 65 (Volume 5). Reports (analysis, due diligence, project close) follow a similar logic: conclusion first, then findings with evidence, then appendices. Charts must have message titles ("Freight costs drove 70% of the margin decline") and sources.

113.6 Communicating costs and margins

Be precise about bases and definitions: “gross margin 18% on selling price” vs “markup 22% on cost”; “price per tonne CFR”; “all-in cost including fees”. In negotiations with customers, avoid disclosing your margins; discuss value, market references and cost drivers instead (“steel prices rose 12% in the last quarter”).

PRACTICE · Practice questions

1. Rewrite this subject line: “Re: Re: FW: shipment”.
2. Write a three-sentence email to your bank asking for an increase in your import-loan limit from $2m to $3m, mentioning one reason and attaching documents.
3. Rewrite in a neutral tone: “Your team AGAIN sent wrong documents. This is unacceptable and is costing us money.”

ANSWER · Answers to the practice questions

1. “Shipment 4417 (Jebel Ali): customs hold — documents needed by 10:00 tomorrow.”
2. “Dear Mr. Karim, we would like to request an increase in our import-loan limit from USD 2.0m to USD 3.0m, in view of a new 12-month supply contract with a hotel group that increases our purchases by about 40%. Please find attached the signed contract, our latest management accounts and a monthly cash-flow forecast. We would welcome a meeting next week to discuss terms.”
3. “For the third shipment this quarter, the documents we received contained errors (details attached), which led to demurrage charges of USD 1,800. Could we agree a document checklist and a pre-shipment review with your team to prevent this from happening again?”

CHAPTER 114

Meetings, Calls, Presentations and Networking

LEARNING OBJECTIVES · In this chapter

Practical behaviour and language for meetings, telephone and video calls, presentations, introductions and networking; asking good questions; explaining complex ideas.

114.1 Meeting etiquette

Before	During	After
Clear purpose and agenda; pre-reads; invite the right people; prepare your points and data	Arrive on time; introductions; agree objective; listen; take notes; contribute concisely; respect hierarchy and cultural norms; avoid side conversations and phones	Send minutes or summary within 24 hours: decisions, actions, owners, deadlines; follow up

In many Middle Eastern business settings, relationship-building conversation before business, hospitality (coffee, tea), and respect for seniority are customary; meetings may start later or include interruptions; decisions may be confirmed later by the senior decision-maker. Adapt without stereotyping: observe and follow the host's lead.

114.2 Telephone and video calls

- Identify yourself and the purpose at the start ("This is Rami from ClearPath; I'm calling about the delivery schedule for order 5521.").
- Check that the timing is convenient.
- Summarise agreements at the end and confirm by email.
- For video calls: test technology, mute when not speaking, look at the camera, share only relevant screens.

114.3 Presentations

1. Start with the message and what you want from the audience.
2. Structure: problem → analysis → options → recommendation → next steps.
3. One message per slide; titles that state conclusions; readable charts; minimal text.
4. Know your numbers and the assumptions behind them.
5. Anticipate questions; prepare backup slides.
6. Respect time; finish early rather than late.

114.4 Introductions and networking

DIALOGUE · Self-introduction at an industry event

"Good evening, I'm Omar Haddad. I work in treasury at Levant Pharma, mainly on FX hedging and bank relationships for our exports to Europe. I saw your presentation on supply-chain finance — I'd be interested in how your platform handles suppliers in countries with currency restrictions. Would you have ten minutes now, or could we arrange a call next week?"

Networking principles: be curious about others; offer value (introductions, information); follow up within 48 hours; maintain relationships over time, not only when you need something; keep a professional online profile.

114.5 Asking intelligent questions

Purpose	Example question
Clarify	"When you say 'margin', do you mean gross margin on selling price?"
Quantify	"Roughly how many containers were delayed last quarter, and what did that cost?"
Understand drivers	"What explains the increase in DSO — specific customers or general payment behaviour?"
Test assumptions	"What happens to the NPV if occupancy is 60% instead of 80%?"
Explore risk	"What is the worst realistic case, and could we survive it?"
Decision process	"Who else needs to approve this, and what will they focus on?"
Next steps	"What would you need from us to move forward?"

114.6 Explaining complex ideas clearly

Use the **headline–explanation–example** pattern; avoid jargon or define it; use analogies; quantify; show a simple picture or table; check understanding ("Does that make sense, or shall I show the numbers?").

WORKED EXAMPLE · Explaining working capital to a non-finance manager

"Every time we grow sales by $1 million, we need about $250,000 more cash tied up in stock and unpaid invoices before customers pay us. That's why, even though we're profitable, the bank overdraft keeps rising. If we collect 15 days faster, we free about $400,000."

PRACTICE · Practice questions

1. Write minutes (decisions and actions) for a 30-minute meeting where the team agreed to (a) switch freight forwarder for the Asia lane from July, (b) ask the bank for a facility increase, and (c) review pricing on steel products monthly.
2. Prepare a 30-second introduction of yourself for a meeting with a bank relationship manager.

ANSWER · Answers to the practice questions

1. "**Decisions:** (1) Asia–Gulf freight will move to Forwarder B from 1 July; (2) the CFO will request a USD 3m increase in the RCF; (3) steel-linked prices will be reviewed monthly from June. **Actions:** Logistics Manager — notify Forwarder A and sign B's rate agreement by 15 June; CFO — send facility request with forecast to the bank by 7 June; Commercial Director — implement monthly price-review procedure and inform key customers by 31 May. Next review: 20 June."
2. "Good morning, I'm [name], the new financial analyst at [company], responsible for cash forecasting and working-capital reporting. I'll be your day-to-day contact for our monthly borrowing-base reports and covenant certificates. I'd like to understand your reporting requirements so we can make them accurate and timely."

CHAPTER 115

Difficult Conversations: Delays, Problems, Risks, Disagreement and Negotiation Language

LEARNING OBJECTIVES · In this chapter

How to communicate bad news, problems, uncertainty and disagreement professionally — and the language of negotiation and escalation.

115.1 Communicating delays and problems

Principles: **early** (before the other side discovers it), **factual** (what happened, impact), **ownership** (no blame-shifting), **solution-oriented** (what you are doing, options), **specific** (new dates, amounts), and **follow-up** (regular updates).

Structure: (1) the news, (2) the cause briefly, (3) the impact, (4) actions and options, (5) what you need, (6) next update.

115.2 Discussing risks and uncertainty

- Separate facts from estimates: "We know X; we estimate Y; we don't yet know Z."
- Use ranges and probabilities: "Delivery is likely between 18 and 22 June; the most likely date is 19 June."
- Describe triggers and mitigations: "If the vessel misses the window on the 9th, we will switch to air freight for the critical 20%."
- Avoid false certainty and excessive hedging.

115.3 Handling disagreement professionally

Situation	Approach	Example phrase
You disagree with a senior colleague	Acknowledge, then add data	"I see the logic. One point worries me: the customer's payment history shows an average of 110 days, not 60. Could we price that in?"
A client rejects your recommendation	Understand their concern	"Help me understand what concerns you most — the cost or the implementation timeline?"
Conflict between departments	Focus on shared objectives	"We both want to keep this customer; let's find terms that also protect cash flow."
Someone is wrong in a meeting	Correct facts, not the person	"I think the figure may be from last year; this year's number is 4.2 million — I can share the source."
You were wrong	Admit quickly and fix	"You're right — I used the wrong exchange rate. Corrected figures attached."

115.4 Escalation

Escalate when an issue exceeds your authority, a deadline is at risk, or agreed processes are not working. Escalate with facts, impact, options and a recommendation — not complaints. "I need to escalate the customs hold on shipment 4417: demurrage is USD 300 per day from tomorrow; the broker needs a revised certificate from the supplier, who has not responded for two days. I recommend that you call their sales director; alternatively we can request a temporary release against a guarantee."

115.5 Negotiation language

Purpose	Phrases
Opening	"Let's start by clarifying what each side needs from this agreement."
Anchoring	"Based on current market rates, we were expecting a price in the range of…"
Probing	"What is driving the request for 120-day terms?"
Conditional offers	"If you can commit to a two-year term, we could look at the price."
Signalling flexibility	"There may be some flexibility on delivery dates."
Holding firm	"I'm afraid that is our best position on price; we may be able to help on payment terms."
Rejecting politely	"I understand the request, but we wouldn't be able to accept those liability terms."
Summarising	"So, to confirm where we are: price X, terms Y, subject to Z."
Closing	"If we can agree on this, we are ready to sign this week."
Walking away	"It seems we can't bridge the gap at this stage. Let's keep in touch if circumstances change."

PRACTICE · Practice questions

1. Your project will exceed budget by 12%. Draft the first four sentences of your message to the sponsor.
2. Rephrase constructively: "That will never work."
3. Write a conditional concession in response to a customer requesting a 5% discount.

ANSWER · Answers to the practice questions

1. "I want to flag early that the project is forecast to exceed its budget by 12% (USD 84,000). The main driver is data migration, which required 40% more effort than planned due to duplicate records. We have identified savings of USD 30,000 in later phases and can phase the reporting module to next year to cover the rest. I'd like your approval on that option by Friday."
2. "I have concerns about how this would work in practice — particularly [issue]. Could we test it on a smaller scale first?"
3. "If you can increase the annual volume to 1,500 tonnes and agree to 30-day payment, we could offer a 3% volume rebate at year-end."

CHAPTER 116

The Professional Phrasebook: Expressions by Situation

LEARNING OBJECTIVES · In this chapter

Several hundred professional expressions organised by situation, each with an Arabic equivalent and a note on when to use it; followed by detailed explanations of fourteen expressions that are heard constantly in meetings.

PROFESSIONAL INSIGHT · How to use the phrasebook

Do not memorise lists. Choose five expressions a week that fit your work, use them in real emails and meetings, and notice how colleagues use them. The Arabic column gives a professional Modern Standard Arabic equivalent; in spoken Gulf, Levantine or Egyptian business Arabic, many of these phrases are said partly in English.

116.1 Opening and closing

Expression	العربية	Use
I am writing to request / confirm / follow up on…	أكتب إليكم لطلب / لتأكيد / لمتابعة…	Email opening stating purpose
Further to our conversation this morning…	إلحاقاً بحديثنا صباح اليوم…	Linking to a previous call
Thank you for your prompt reply.	شكراً لردكم السريع.	Courteous acknowledgement
Please find attached…	تجدون مرفقاً…	Attachments
I hope this clarifies the situation.	آمل أن يكون ذلك قد أوضح الموقف.	After an explanation
Please do not hesitate to contact me if you have any questions.	لا تترددوا في التواصل معي إن كانت لديكم أي استفسارات.	Standard closing
I look forward to hearing from you.	أتطلع إلى ردكم.	Formal closing
Thank you for your time today.	شكراً لوقتكم اليوم.	After a meeting
Let me briefly summarise where we are.	اسمحوا لي أن ألخص باختصار ما وصلنا إليه.	Start or end of a discussion
Shall we get started?	هل نبدأ؟	Opening a meeting
The purpose of today’s meeting is to agree on…	الهدف من اجتماع اليوم هو الاتفاق على…	Setting the objective
Kind regards / Best regards / Yours faithfully	مع أطيب التحيات / وتفضلوا بقبول فائق الاحترام	Sign-offs (formal last)

116.2 Requests and follow-up

Expression	العربية	Use
Could you please send us… by [date]?	هل يمكنكم إرسال… قبل [التاريخ]؟	Polite request with deadline

Expression	العربية	Use
We would appreciate it if you could…	نكون شاكرين لو تفضلتم بـ…	More formal request
Would it be possible to…?	هل من الممكن…؟	Soft request
I'm following up on my email of [date] regarding…	أتابع رسالتي المؤرخة في… بشأن…	Reminder
Just a gentle reminder that…	تذكير لطيف بأن…	Friendly reminder
Could you confirm receipt?	هل يمكنكم تأكيد الاستلام؟	Documents, payments
At your earliest convenience	في أقرب فرصة ممكنة لكم	Polite urgency
This is time-sensitive.	هذا الأمر مرتبط بمهلة زمنية.	Signalling urgency without panic
Please advise.	يرجى إفادتنا / يرجى التوجيه.	Asking for instructions
Can we set up a call to discuss?	هل يمكننا ترتيب مكالمة للنقاش؟	Moving from email to call
I would be grateful for your guidance on…	سأكون ممتناً لتوجيهكم بشأن…	Asking a senior person
Please keep me in the loop.	يرجى إبقائي على اطلاع.	Asking to be informed

116.3 Agreeing, aligning and next steps

Expression	العربية	Use
Let's align on the next steps.	لنتفق على الخطوات التالية.	End of meeting
That works for us.	هذا مناسب لنا.	Agreement
I agree in principle, subject to…	أوافق من حيث المبدأ، بشرط…	Conditional agreement
We are on the same page.	نحن متفقون على الفهم نفسه.	Shared understanding
Let's put that in writing.	لنوثّق ذلك كتابياً.	Confirming agreements
Who will own this action?	من سيتولى مسؤولية هذا الإجراء؟	Assigning responsibility
What is the deadline for this?	ما الموعد النهائي لهذا؟	Timing
Let's reconvene next week.	لنجتمع مجدداً الأسبوع المقبل.	Follow-up meeting
I'll circulate the minutes by tomorrow.	سأعمّم محضر الاجتماع غداً.	After meetings
Let's take this offline.	لنناقش ذلك خارج الاجتماع.	Detail not for the whole group
We have a green light from management.	حصلنا على موافقة الإدارة.	Approval obtained
The ball is in their court.	القرار الآن بيد الطرف الآخر.	Waiting for the other party

116.4 Disagreeing politely

Expression	العربية	Use
I see your point, but…	أفهم وجهة نظرك، ولكن…	Soft disagreement
I'm not sure I agree with that assumption.	لست متأكداً من أنني أوافق على هذا الافتراض.	Challenging assumptions
Could we look at this from a different angle?	هل يمكننا النظر إلى المسألة من زاوية أخرى؟	Reframing

Expression	العربية	Use
I have some concerns about…	لدي بعض المخاوف بشأن…	Raising issues
With respect, the data suggest otherwise.	مع الاحترام، تشير البيانات إلى خلاف ذلك.	Disagreeing with evidence
That may be difficult for us to accept.	قد يكون من الصعب علينا قبول ذلك.	Polite refusal
I'm afraid we can't agree to that.	يؤسفني أننا لا نستطيع الموافقة على ذلك.	Firm refusal
Let's agree to revisit this when we have more data.	لنتفق على مراجعة هذه المسألة عند توفر بيانات أكثر.	Defusing
I would suggest an alternative approach.	أقترح نهجاً بديلاً.	Constructive
Let me play devil's advocate for a moment.	دعوني أطرح وجهة النظر المعاكسة للحظة.	Testing ideas

116.5 Clarifying and asking questions

Expression	العربية	Use
Just to clarify, do you mean…?	للتوضيح فقط، هل تقصد…؟	Checking meaning
Could you walk me through the numbers?	هل يمكنك أن تشرح لي الأرقام خطوة بخطوة؟	Understanding a model
What assumptions is this based on?	على أي افتراضات يستند ذلك؟	Testing analysis
How did you arrive at that figure?	كيف توصلت إلى هذا الرقم؟	Source of numbers
What is driving the change?	ما الذي يدفع هذا التغير؟	Drivers
What would it take to…?	ما الذي يلزم لـ…؟	Exploring options
Is that a hard deadline?	هل هذا موعد نهائي لا يقبل التأجيل؟	Flexibility
Who are the decision-makers?	من هم أصحاب القرار؟	Sales, projects
What does success look like for you?	كيف تبدو النتيجة الناجحة بالنسبة لك؟	Client discovery
If I understand correctly…	إن فهمت بشكل صحيح…	Paraphrasing

116.6 Numbers, costs and margins

Expression	العربية	Use
The figures don't add up.	الأرقام غير متطابقة.	Inconsistency
We need to reconcile the figures.	نحتاج إلى مطابقة الأرقام وتسويتها.	Different sources disagree
On a like-for-like basis…	على أساس مقارن مماثل…	Comparable comparison
Year on year / quarter on quarter	على أساس سنوي / على أساس ربع سنوي	Growth comparisons
The margin is under pressure.	الهامش تحت الضغط.	Falling margins
What is the all-in cost?	ما التكلفة الإجمالية الشاملة؟	Including fees and charges
This is within budget / over budget.	هذا ضمن الموازنة / يتجاوز الموازنة.	Budget status
Ballpark figure	رقم تقديري تقريبي	Rough estimate

Expression	العربية	Use
Can we break this down by product?	هل يمكننا تفصيل ذلك حسب المنتج؟	Analysis
The variance is mainly due to...	يعود الانحراف أساساً إلى...	Explaining variances
One-off vs recurring	لمرة واحدة مقابل متكرر	Quality of earnings
Net of fees / gross of fees	صافٍ من الرسوم / شامل الرسوم	Clarity
In real terms	بالقيمة الحقيقية (بعد استبعاد أثر التضخم)	Inflation-adjusted
The numbers are preliminary and unaudited.	الأرقام أولية وغير مدققة.	Caveat

116.7 Finance and investment

Expression	العربية	Use
What is the expected return?	ما العائد المتوقع؟	Investment discussions
The project clears our hurdle rate.	يتجاوز المشروع الحد الأدنى للعائد المطلوب لدينا.	Approval argument
What's the payback period?	ما فترة الاسترداد؟	Capex
We need to assess the commercial viability.	نحتاج إلى تقييم الجدوى التجارية.	New opportunity
Let's revisit the assumptions.	لنراجع الافتراضات.	Model challenge
Let's review the downside scenario.	لنراجع السيناريو السلبي (الأسوأ).	Risk
The valuation looks stretched.	يبدو التقييم مبالغاً فيه.	Expensive deal
It's accretive to earnings.	يرفع ربحية السهم.	M&A
We need more visibility on cash flow.	نحتاج إلى رؤية أوضح للتدفقات النقدية.	Liquidity concerns
Free cash flow is negative this year.	التدفق النقدي الحر سالب هذا العام.	Analysis
We are within our covenants.	نحن ضمن حدود التعهدات المالية.	Banking
Leverage will peak at 3.5 times.	ستبلغ الرافعة المالية ذروتها عند 3.5 مرات.	Debt planning
Risk-adjusted, the return is lower.	بعد احتساب المخاطر، يكون العائد أقل.	Comparison
The deal is subject to due diligence.	الصفقة مشروطة بإجراء الفحص النافي للجهالة (العناية الواجبة).	Offers

116.8 Banking and credit

Expression	العربية	Use
We would like to request a facility increase.	نرغب في طلب زيادة التسهيلات.	Borrowing
The facility is up for renewal.	التسهيل مستحق للتجديد.	Annual review
What are the pricing and fees?	ما التسعير والرسوم؟	Loan terms
The margin over the reference rate	الهامش فوق السعر المرجعي	Loan pricing
Security and covenants	الضمانات والتعهدات	Terms

Expression	العربية	Use
We have headroom of 20% on the leverage covenant.	لدينا هامش 20% ضمن تعهد الرافعة المالية.	Covenant status
We may need a waiver.	قد نحتاج إلى تنازل (إعفاء) من البنك.	Breach risk
Please debit our account no…	يرجى قيد المبلغ على حسابنا رقم…	Instructions
The payment is held for compliance review.	الدفعة معلّقة للمراجعة من قبل إدارة الامتثال.	Payment delays
Please provide the SWIFT confirmation (MT103 / UETR).	يرجى تزويدنا بتأكيد سويفت (MT103 / رقم التتبع).	Tracing payments
KYC documents need to be updated.	يجب تحديث مستندات «اعرف عميلك».	Onboarding/re-views
The credit committee has approved the facility subject to conditions.	وافقت لجنة الائتمان على التسهيل بشروط.	Approvals
We need to mitigate counterparty risk.	نحتاج إلى تخفيف مخاطر الطرف المقابل.	Trade/finance

116.9 International trade and logistics

Expression	العربية	Use
What are the payment terms?	ما شروط الدفع؟	Negotiation
Please quote CIF Jebel Ali, Incoterms® 2020.	يرجى التسعير على أساس CIF جبل علي وفق إنكوتيرمز 2020.	RFQ
What is the lead time?	ما مهلة التوريد؟	Planning
Latest shipment date / expiry date	آخر موعد للشحن / تاريخ انتهاء الصلاحية	L/C terms
The documents are discrepant.	المستندات غير مطابقة (بها مخالفات).	L/C
Can the applicant waive the discrepancy?	هل يمكن لطالب الاعتماد التنازل عن المخالفة؟	L/C
Please send the original B/Ls by courier.	يرجى إرسال بوالص الشحن الأصلية بالبريد السريع.	Documents
The cargo is held at customs.	الشحنة محتجزة لدى الجمارك.	Clearance issues
We are incurring demurrage.	نتكبد غرامات تأخير (ديمرج).	Port delays
Free time expires on…	تنتهي الفترة المجانية في…	D&D
The vessel has been delayed / re-routed.	تأخرت السفينة / تم تغيير مسارها.	Transport
Please confirm the HS code.	يرجى تأكيد رمز النظام المنسق.	Customs
Pre-shipment inspection is required.	يُشترط الفحص قبل الشحن.	Quality
Who bears the risk at that point?	من يتحمل المخاطر عند تلك النقطة؟	Incoterms

116.10 Sales and client communication

Expression	العربية	Use
What challenges are you facing with…?	ما التحديات التي تواجهونها في…؟	Discovery
How are you handling this today?	كيف تتعاملون مع هذا الأمر حالياً؟	Discovery
The proposal is commercially attractive.	العرض جذاب تجارياً.	Evaluation

Expression	العربية	Use
We can tailor the offer to your needs.	يمكننا تكييف العرض حسب احتياجاتكم.	Flexibility
This offer is valid until…	هذا العرض ساري المفعول حتى…	Quotation
Our value proposition is…	عرض القيمة لدينا هو…	Positioning
May I ask what budget you have in mind?	هل لي أن أسأل عن الميزانية التي تفكرون فيها؟	Qualification
We'd be happy to arrange a pilot.	يسعدنا ترتيب تجربة تطبيقية.	Reducing risk
What would prevent you from moving forward?	ما الذي قد يمنعكم من المضي قدماً؟	Objections
Thank you for your business.	شكراً لتعاملكم معنا.	Appreciation
We value our partnership.	نقدّر شراكتنا معكم.	Relationship

116.11 Suppliers and procurement

Expression	العربية	Use
Please submit your best and final offer.	يرجى تقديم أفضل عرض نهائي لديكم.	Tender
We are comparing several quotations.	نقارن بين عدة عروض أسعار.	Leverage
Can you match this price?	هل يمكنكم مجاراة هذا السعر؟	Negotiation
We need a firm delivery commitment.	نحتاج إلى التزام مؤكد بموعد التسليم.	Reliability
The goods do not meet the specifications.	البضائع لا تطابق المواصفات.	Quality claim
We reserve our rights under the contract.	نحتفظ بحقوقنا بموجب العقد.	Disputes
Please issue a credit note.	يرجى إصدار إشعار دائن.	Corrections
We would like to extend payment terms to 60 days.	نرغب في تمديد شروط الدفع إلى 60 يوماً.	Working capital
Please confirm the order acknowledgement.	يرجى تأكيد إقرار استلام الطلب.	Orders

116.12 Delays, problems and apologies

Expression	العربية	Use
I wanted to let you know early that…	أردت إبلاغكم مبكراً بأن…	Bad news early
Unfortunately, there has been a delay in…	للأسف، حدث تأخير في…	Delay notice
We apologise for the inconvenience.	نعتذر عن الإزعاج.	Apology
We take full responsibility.	نتحمل المسؤولية كاملة.	Ownership
Here is what we are doing to fix it.	إليكم ما نقوم به لمعالجة الأمر.	Solution
The revised date is…	الموعد المعدّل هو…	New date
We will keep you updated.	سنبقيكم على اطلاع.	Follow-up
We need to escalate the issue.	نحتاج إلى تصعيد المسألة.	Escalation
The root cause was…	كان السبب الجذري…	Explanation

Expression	العربية	Use
To prevent this from happening again...	لمنع تكرار ذلك...	Corrective action

116.13 Risks and uncertainty

Expression	العربية	Use
There is a risk that...	هناك خطر من أن...	Raising risks
The probability is low but the impact would be high.	الاحتمال منخفض لكن الأثر سيكون كبيراً.	Risk assessment
We have mitigated this by...	قمنا بتخفيف ذلك عن طريق...	Controls
Based on current information...	بناءً على المعلومات الحالية...	Caveat
This is our best estimate, with a range of...	هذا أفضل تقدير لدينا، ضمن نطاق...	Uncertainty
What is our exposure?	ما حجم تعرّضنا للمخاطر؟	Quantifying risk
What is the worst-case scenario?	ما أسوأ سيناريو محتمل؟	Downside
We should hedge this exposure.	يجب أن نتحوط من هذا التعرض.	FX/commodity
It’s outside our risk appetite.	هذا خارج حدود رغبتنا في المخاطرة.	Declining

116.14 Management updates and reporting

Expression	العربية	Use
In summary / The key message is...	باختصار / الرسالة الرئيسية هي...	Executive summary
We are on track / behind schedule / ahead of plan.	نحن على المسار الصحيح / متأخرون عن الجدول / متقدمون على الخطة.	Status
The status is amber.	الحالة «كهرمانية» (تحتاج إلى انتباه).	RAG reporting
A decision is needed by...	يلزم اتخاذ قرار قبل...	Decision request
We recommend option B because...	نوصي بالخيار (ب) لأن...	Recommendation
The contract is pending approval.	العقد بانتظار الموافقة.	Status
We need to improve operational efficiency.	نحتاج إلى تحسين الكفاءة التشغيلية.	Performance
Key takeaways	أهم الخلاصات	Summary
For information / For decision	للعلم / للقرار	Agenda items

116.15 Meetings, presentations and calls

Expression	العربية	Use
Can everyone hear me?	هل يسمعني الجميع؟	Calls
Let’s go round the table.	لنستمع إلى آراء الجميع بالتتابع.	Inviting input
Could you elaborate on that?	هل يمكنك التوسع في ذلك؟	Asking for detail

Expression	العربية	Use
I'd like to come back to that point.	أود العودة إلى تلك النقطة.	Managing discussion
In the interest of time...	حرصاً على الوقت...	Moving on
Let me share my screen.	دعوني أشارك شاشتي.	Video calls
This slide shows...	توضح هذه الشريحة...	Presentations
To sum up...	للتلخيص...	Ending
Are there any questions?	هل هناك أي أسئلة؟	Closing presentations
Sorry, you broke up — could you repeat that?	عذراً، انقطع الصوت — هل يمكنك الإعادة؟	Connection problems

116.16 Networking and introductions

Expression	العربية	Use
Allow me to introduce myself.	اسمحوا لي أن أعرّفكم بنفسي.	Formal
I work in... where I focus on...	أعمل في... وأركز على...	Self-introduction
I'd like to introduce you to...	أود أن أعرّفكم بـ...	Connecting people
[Name] suggested I contact you.	اقترح [الاسم] أن أتواصل معكم.	Referral
It was a pleasure meeting you.	سعدت بلقائكم.	Closing
Let's stay in touch.	لنبقَ على تواصل.	Networking
May I have your business card?	هل لي ببطاقة عملك؟	Exchange contacts

116.17 Fourteen expressions explained

Expression	Meaning and context	Arabic	Example
Let's align on the next steps.	Agree who does what by when; prevents vague endings	لنتفق على الخطوات التالية	"Before we close, let's align on the next steps: we send the draft by Monday; you confirm volumes by Wednesday."
We need to assess the commercial viability.	Check whether the idea makes money at acceptable risk (market, price, costs, funding)	نحتاج إلى تقييم الجدوى التجارية	"The product is technically feasible, but we need to assess the commercial viability at a $40 price point."
What is the expected return?	What profit/IRR/NPV will this investment generate relative to the capital and risk?	ما العائد المتوقع؟	"Before approving the $2m, what is the expected return and over what period?"
Let's revisit the assumptions.	The conclusion depends on inputs that may be unrealistic; review them	لنراجع الافتراضات	"The NPV looks high; let's revisit the assumptions on occupancy and pricing."
We need more visibility on cash flow.	Current information is insufficient to know future cash needs; often a sign of concern	نحتاج إلى رؤية أوضح للتدفقات النقدية	"The bank wants more visibility on cash flow — let's prepare a 13-week forecast."
The transaction is subject to due diligence.	The offer is conditional on satisfactory investigation; buyer can walk away or renegotiate	الصفقة مشروطة بإجراء الفحص النافي للجهالة	"Our offer of $40m is subject to due diligence and board approval."

Expression	Meaning and context	Arabic	Example
We need to mitigate counterparty risk.	Reduce the chance or impact of the other party not performing (payment, delivery)	نحتاج إلى تخفيف مخاطر الطرف المقابل	“The buyer is new; to mitigate counterparty risk we will require a confirmed L/C.”
What are the payment terms?	When, how and in what currency payment is made; key to cash and risk	ما شروط الدفع؟	“The price is acceptable — what are the payment terms?”
We need to reconcile the figures.	Two sets of numbers differ; identify and explain differences	نحتاج إلى مطابقة الأرقام وتسويتها	“Sales and finance report different revenue — we need to reconcile the figures before the board meeting.”
The proposal is commercially attractive.	Good economics (price, margin, terms) — often followed by “but…” on other issues	العرض جذاب تجارياً	“The proposal is commercially attractive, but the liability cap is too low.”
Let’s review the downside scenario.	Examine what happens if things go badly; test survival and protections	لنراجع السيناريو السلبي	“Before we commit, let’s review the downside scenario with volumes 30% lower.”
We need to escalate the issue.	Raise to higher authority because it exceeds current authority or is stuck	نحتاج إلى تصعيد المسألة	“The supplier hasn’t responded for a week; we need to escalate the issue to their sales director.”
The contract is pending approval.	Negotiated but awaiting internal sign-off (legal, management, board) — not yet binding	العقد بانتظار الموافقة	“Terms are agreed; the contract is pending approval by our legal department.”
We need to improve operational efficiency.	Produce the same output with less cost/time/error, or more with the same	نحتاج إلى تحسين الكفاءة التشغيلية	“Margins are fine but warehouse costs per order rose 15%; we need to improve operational efficiency.”

CHAPTER 117

Business Dialogues in English and Arabic

LEARNING OBJECTIVES · In this chapter

Six realistic dialogues — banking, international trade, logistics, consulting, sales and management — each followed by an Arabic translation. All persons and companies are fictional.

117.1 Dialogue 1 — Banking: facility renewal

DIALOGUE · Relationship manager and CFO

RM: Thank you for sending the audited accounts. Before the credit committee, I'd like to understand the increase in receivables. DSO went from 75 to 91 days.
CFO: Fair question. Most of the increase relates to two government-funded contractors. Payments are slow but consistent — we have no write-offs. We've also insured those accounts with a credit insurer.
RM: That helps. Could you assign the policy proceeds to the bank? Credit will ask for it.
CFO: Yes, we can. On pricing, we'd like the margin on the import loans to stay at 2.75%.
RM: I'll recommend that, given your track record. The committee may ask for a DSO covenant or quarterly ageing reports.
CFO: Quarterly ageing reports are fine; we'd prefer not to have a DSO covenant — it's seasonal.
RM: Understood. I'll propose the reporting requirement instead. Let's align on next steps: you send the insurance policy and the 12-month cash-flow forecast by Thursday; I submit the proposal next week.

بالعربية — الترجمة العربية — الحوار الأول

مدير العلاقة: شكراً لإرسال القوائم المالية المدققة. قبل عرض الملف على لجنة الائتمان، أود أن أفهم سبب ارتفاع الذمم المدينة؛ فقد ارتفعت أيام التحصيل من 75 إلى 91 يوماً.
المدير المالي: سؤال في محله. معظم الزيادة تعود إلى مقاولَين يعملان في مشاريع ممولة حكومياً. الدفعات بطيئة لكنها منتظمة، ولم نشطب أي دين. كما أمّنّا على هذين الحسابين لدى شركة تأمين ائتمان.
مدير العلاقة: هذا مفيد. هل يمكنكم التنازل عن عوائد وثيقة التأمين لصالح البنك؟ ستطلب إدارة الائتمان ذلك.
المدير المالي: نعم، يمكننا ذلك. أما بالنسبة للتسعير، فنود أن يبقى الهامش على قروض الاستيراد عند 2.75%.
مدير العلاقة: سأوصي بذلك نظراً لسجلكم الجيد. قد تطلب اللجنة تعهداً بشأن أيام التحصيل أو تقارير ربع سنوية عن أعمار الذمم.
المدير المالي: لا مانع من التقارير الربع سنوية، لكننا نفضل عدم وجود تعهد على أيام التحصيل لأنها موسمية.
مدير العلاقة: مفهوم. سأقترح متطلب التقارير بدلاً من ذلك. لنتفق على الخطوات التالية: ترسلون وثيقة التأمين وتوقعات التدفق النقدي لاثني عشر شهراً قبل يوم الخميس، وأقدّم المقترح الأسبوع المقبل.

117.2 Dialogue 2 — International trade: L/C discrepancy

DIALOGUE · Exporter's documentation manager and the importer

Exporter: Good morning, Mr. Rahman. I'm calling about the documents under L/C 0451. The issuing bank has reported a discrepancy: the B/L shows a shipment date of 17 May, two days after the latest shipment date.
Importer: Yes, our bank informed us. We are reviewing it.
Exporter: The delay was caused by the vessel's schedule change; the goods are exactly as ordered and arrive next week. Would you be able to waive the discrepancy so the bank can pay?

Importer: We understand. However, our market price has dropped about 4% since we placed the order.
Exporter: I appreciate that. The contract price was agreed, and the delay was outside our control. We could offer to cover the demurrage if the cargo is delayed at the port, and absorb the discrepancy fee.
Importer: Let me discuss with our director. If we waive, we would also want an extra 30 days of free warranty support.
Exporter: That's acceptable. Could you confirm the waiver to your bank by tomorrow? I'll send an email summarising what we agreed.

بالعربية — الترجمة العربية — الحوار الثاني

المصدّر: صباح الخير يا سيد رحمن. أتصل بخصوص مستندات الاعتماد رقم 0451. أبلغ البنك المصدر عن وجود مخالفة: تاريخ الشحن في بوليصة الشحن هو 17 مايو، أي بعد آخر موعد للشحن بيومين.

المستورد: نعم، أبلغنا بنكنا بذلك، ونحن ندرس الأمر.

المصدّر: سبب التأخير تغيير جدول السفينة، والبضاعة مطابقة تماماً للطلب وتصل الأسبوع المقبل. هل يمكنكم التنازل عن المخالفة ليتمكن البنك من الدفع؟

المستورد: نتفهم ذلك، لكن سعر السوق لدينا انخفض بنحو 4% منذ أن قدمنا الطلب.

المصدّر: أقدّر ذلك. لكن السعر متفق عليه في العقد، والتأخير خارج عن إرادتنا. يمكننا أن نتحمل غرامات التأخير في الميناء إن تأخرت الشحنة، وأن نتحمل رسوم المخالفة.

المستورد: دعني أناقش الأمر مع المدير. إذا تنازلنا فنريد أيضاً ثلاثين يوماً إضافية من دعم الضمان مجاناً.

المصدّر: هذا مقبول. هل يمكنكم تأكيد التنازل لبنككم قبل الغد؟ سأرسل رسالة إلكترونية تلخص ما اتفقنا عليه.

117.3 Dialogue 3 — Logistics: demurrage dispute

DIALOGUE · Importer and freight forwarder

Importer: We received an invoice for USD 2,860 in demurrage and detention. We think it's too high.
Forwarder: I understand. The containers stayed 14 days at the terminal; free time was five days.
Importer: The delay was caused by customs inspection, not by us.
Forwarder: Inspection took three days. The other six days were because the original bills of lading arrived late.
Importer: That was the supplier's fault. Can you ask the shipping line for a waiver on part of the charges?
Forwarder: We can request a goodwill reduction on the demurrage, perhaps 30%, but I can't promise. For future shipments I recommend we negotiate 10 days of free time in our contract and use telex release once payment is made.
Importer: Agreed. Please submit the waiver request today and send me the revised free-time proposal.

بالعربية — الترجمة العربية — الحوار الثالث

المستورد: وصلتنا فاتورة بقيمة 2,860 دولاراً عن غرامات التأخير والاحتجاز، ونعتقد أنها مرتفعة جداً.

وكيل الشحن: أتفهم ذلك. بقيت الحاويات 14 يوماً في المحطة، بينما كانت الفترة المجانية خمسة أيام.

المستورد: التأخير سببه التفتيش الجمركي وليس نحن.

وكيل الشحن: استغرق التفتيش ثلاثة أيام، أما الأيام الستة الأخرى فسببها تأخر وصول بوالص الشحن الأصلية.

المستورد: هذا خطأ المورد. هل يمكنك أن تطلب من خط الشحن إعفاءً من جزء من الرسوم؟

وكيل الشحن: يمكننا طلب تخفيض على سبيل المجاملة في رسوم الديمرج، ربما بنسبة 30%، لكن لا أستطيع أن أعد بذلك. وأنصح في

الشحنات المقبلة بالتفاوض على عشرة أيام مجانية في عقدنا واستخدام الإفراج البرقي بعد السداد.
المستورد: متفقون. يرجى تقديم طلب الإعفاء اليوم وإرسال مقترح الفترة المجانية المعدّل إليّ.

117.4 Dialogue 4 — Consulting: presenting findings

DIALOGUE · Consultant and client CEO

Consultant: The key message is that your profitability problem is mainly in small accounts, not in pricing. About 40% of your customers generate losses once order handling and delivery costs are allocated.
CEO: That surprises me. Those customers pay higher prices.
Consultant: They do — their gross margin is 30% versus 18% for large accounts. But they order in small quantities, about 25 times a year each, and each delivery costs around 60 dollars.
CEO: What do you recommend?
Consultant: Three options: introduce a minimum order value with a delivery fee below it; move small customers to an online ordering channel with scheduled deliveries; or serve them through a wholesaler. Based on our analysis, the first two together could improve EBITDA by about 1.2 million a year.
CEO: Let's review the downside — could we lose those customers?
Consultant: Some, yes. We estimate 10–15% attrition, which is already included in the 1.2 million estimate.

بالعربية — الترجمة العربية — الحوار الرابع

المستشار: الرسالة الرئيسية هي أن مشكلة الربحية لديكم تكمن أساساً في الحسابات الصغيرة وليس في التسعير؛ فنحو 40% من عملائكم يحققون خسائر عند تحميلهم تكاليف معالجة الطلبات والتوصيل.
الرئيس التنفيذي: هذا يفاجئني، فهؤلاء العملاء يدفعون أسعاراً أعلى.
المستشار: صحيح، فهامش الربح الإجمالي لديهم 30% مقابل 18% للحسابات الكبيرة، لكنهم يطلبون كميات صغيرة، بمعدل 25 طلباً سنوياً لكل منهم، وتكلف كل عملية توصيل نحو 60 دولاراً.
الرئيس التنفيذي: ما توصيتك؟
المستشار: هناك ثلاثة خيارات: فرض حد أدنى لقيمة الطلب مع رسوم توصيل لما دونه، أو نقل العملاء الصغار إلى قناة طلب إلكترونية مع مواعيد توصيل محددة، أو خدمتهم عبر تاجر جملة. وبحسب تحليلنا، يمكن للخيارين الأولين معاً تحسين الأرباح قبل الفوائد والضرائب والإهلاك بنحو 1.2 مليون سنوياً.
الرئيس التنفيذي: لنراجع السيناريو السلبي: هل قد نخسر هؤلاء العملاء؟
المستشار: بعضهم، نعم. نقدّر نسبة الفقدان بين 10% و15%، وقد أدرجناها في تقدير الـ1.2 مليون.

117.5 Dialogue 5 — Sales: discovery meeting with procurement

DIALOGUE · Sales manager and procurement manager

Sales manager: Thank you for your time. To make sure our proposal is relevant, may I ask how you currently source packaging materials?
Procurement manager: We have two suppliers, both local. Prices are fine, but deliveries are often late.
Sales manager: How does that affect your operations?
Procurement manager: When packaging is late, production lines stop. Last quarter we lost about three production days.
Sales manager: What does one lost production day cost you, roughly?

Procurement manager: Maybe 40,000 dollars in contribution.
Sales manager: So reliability is worth more to you than a small price difference. We guarantee delivery within 72 hours from our local warehouse, with penalties if we miss. Who else would be involved in evaluating a new supplier?
Procurement manager: Quality control and the plant manager. The final decision is with the operations director.
Sales manager: Could we arrange a short visit with the plant manager next week, and a trial order to test quality?

بالعربية — الترجمة العربية — الحوار الخامس

مدير المبيعات: شكراً لوقتكم. حتى يكون عرضنا ملائماً، هل لي أن أسأل كيف تشترون مواد التغليف حالياً؟
مدير المشتريات: لدينا موردان محليان. الأسعار مقبولة، لكن التسليم يتأخر كثيراً.
مدير المبيعات: كيف يؤثر ذلك في عملياتكم؟
مدير المشتريات: عندما تتأخر مواد التغليف تتوقف خطوط الإنتاج. وفي الربع الماضي خسرنا نحو ثلاثة أيام إنتاج.
مدير المبيعات: كم تكلفكم خسارة يوم إنتاج واحد تقريباً؟
مدير المشتريات: ربما 40 ألف دولار من هامش المساهمة.
مدير المبيعات: إذن الموثوقية أهم لكم من فرق بسيط في السعر. نحن نضمن التسليم خلال 72 ساعة من مستودعنا المحلي، مع غرامات إذا تأخرنا. من غيرك يشارك في تقييم مورد جديد؟
مدير المشتريات: إدارة مراقبة الجودة ومدير المصنع، والقرار النهائي لمدير العمليات.
مدير المبيعات: هل يمكننا ترتيب زيارة قصيرة مع مدير المصنع الأسبوع المقبل، وطلبية تجريبية لاختبار الجودة؟

117.6 Dialogue 6 — Management: cash discussion

DIALOGUE · CEO and CFO

CEO: Sales are up 18%. Why is the bank asking questions about our overdraft?
CFO: Because growth is consuming cash. Receivables rose by 2.1 million and inventory by 1.4 million. Profit was 1.6 million, so operating cash flow was negative.
CEO: So we are profitable but short of cash.
CFO: Exactly. Overdraft headroom is down to 600,000. We need more visibility on cash flow — I've prepared a 13-week forecast showing a peak need of 1.8 million in August.
CEO: What are the options?
CFO: First, collect overdue receivables — 900,000 is over 90 days. Second, negotiate 60-day terms with our two biggest suppliers. Third, ask the bank for a receivables-finance line of 2 million. I recommend all three.
CEO: Agreed. Let's escalate the overdue accounts to me — I'll call the two largest customers myself.

بالعربية — الترجمة العربية — الحوار السادس

الرئيس التنفيذي: ارتفعت المبيعات بنسبة 18%، فلماذا يطرح البنك أسئلة عن السحب على المكشوف؟
المدير المالي: لأن النمو يستهلك النقد. ارتفعت الذمم المدينة بمقدار 2.1 مليون والمخزون بمقدار 1.4 مليون، بينما كان الربح 1.6 مليون، فكان التدفق النقدي التشغيلي سالباً.
الرئيس التنفيذي: أي أننا رابحون لكن ينقصنا النقد.
المدير المالي: بالضبط. انخفض الهامش المتاح في الحساب الجاري المدين إلى 600 ألف. نحتاج إلى رؤية أوضح للتدفقات النقدية، وقد أعددت توقعاً لثلاثة عشر أسبوعاً يُظهر ذروة احتياج بقيمة 1.8 مليون في أغسطس.
الرئيس التنفيذي: ما الخيارات المتاحة؟
المدير المالي: أولاً، تحصيل الذمم المتأخرة، فهناك 900 ألف متأخرة أكثر من 90 يوماً. ثانياً، التفاوض على مهلة دفع 60 يوماً مع أكبر

موردَين. ثالثاً، طلب خط لتمويل الذمم المدينة بقيمة مليونين من البنك. وأوصي بالخيارات الثلاثة معاً.

الرئيس التنفيذي: موافق. لنصعّد ملف الحسابات المتأخرة إليّ، وسأتصل بنفسي بأكبر عميلين.

PRACTICE · Practice questions

1. Translate into professional English: «نود تأكيد أن الدفعة ستُحوَّل خلال يومي عمل بعد استلام المستندات الأصلية.»
2. Translate into Modern Standard Arabic: “The contract is pending approval; we expect to sign by the end of the month, subject to the board’s decision.”
3. Rewrite Dialogue 6’s CFO explanation for a board presentation slide title and three bullets.

ANSWER · Answers to the practice questions

1. “We would like to confirm that payment will be transferred within two business days of receipt of the original documents.”
2. «العقد بانتظار الموافقة، ونتوقع توقيعه بنهاية الشهر، رهناً بقرار مجلس الإدارة.»
3. Title: “Growth is profitable but consumes cash: peak funding need $1.8m in August.” Bullets: “Receivables +$2.1m and inventory +$1.4m vs profit $1.6m → negative operating cash flow”; “Overdraft headroom down to $0.6m”; “Actions: collect $0.9m overdue, extend supplier terms to 60 days, add $2m receivables-finance line.”

SUMMARY · Part XVII summary

- Put the point first, be specific, make actions explicit, and keep tone neutral.
- Use templates for recurring situations: quotations, corrections, bank requests, delays, updates.
- In meetings, prepare, contribute concisely and confirm decisions in writing.
- Communicate bad news early, with impact, actions and new dates; disagree with data, not emotion.
- Build a working vocabulary of precise expressions in English and their Arabic equivalents, and practise them in real situations.

PART XIX

How Real Commercial Deals Are Structured

كيف تُهيكل الصفقات التجارية الحقيقية

The previous parts explained each discipline separately. Real deals combine them: a supply contract involves pricing, Incoterms, payment security, financing, FX, insurance, tax, legal terms, operations and negotiation all at once. This part presents fifteen detailed case studies, each following the same structure — background, participants, objective, terminology, structure, negotiation, documents, calculations, payment terms, risks, decisions, failure scenarios, controls, outcome and lessons — so that you can see how experienced professionals think across disciplines.

STANDARD / FRAMEWORK · Fictional assumptions vs real data

All companies, people, banks, prices, rates, fees, tax and duty rates in these cases are **fictional training assumptions**, chosen to be realistic in structure and order of magnitude. Where a case refers to real frameworks (Incoterms® 2020, UCP 600, URDG 758, IFRS, Basel, OECD Arrangement), the description is general; verify current rules and actual market data before applying any figure to a real transaction.

LEARNING OBJECTIVES · Learning objectives for Part XIX

- Analyse transactions that combine commercial, financial, legal, operational and risk dimensions.
- Structure deals, negotiate terms, and calculate profitability and funding needs.
- Identify failure scenarios and design controls.
- Learn the patterns professionals use to decide.

Chapters in this part

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CHAPTER 118

Trade and Supply Deals

LEARNING OBJECTIVES · In this chapter

Case 1 (purchasing from an overseas supplier), Case 2 (an exporter negotiating a large supply contract), Case 7 (a manufacturer negotiating with a distributor) and Case 11 (a logistics company calculating shipment profitability).

118.1 Case 1 — A distributor purchases medical gloves from an overseas supplier

Background. Amman Medical Supplies (fictional), a Jordanian distributor to hospitals and pharmacies, wants to import nitrile examination gloves from a Malaysian manufacturer to replace a local supplier whose prices rose 15%. Annual requirement: 12 × 40ft containers; first order: 2 containers (2,400 cartons; 2.4 million gloves).

Participants. Buyer; Malaysian manufacturer; buyer's bank (Amman) and supplier's bank; Jordanian food and drug authority (product registration); freight forwarder; Aqaba port and customs; independent inspection company; cargo insurer.

Commercial objective. Secure reliable, compliant supply at a landed cost at least 10% below the local supplier, without prepaying large amounts to a new supplier.

Relevant terminology. FCA/CPT, documentary collection (D/P), AQL inspection, product registration, landed cost, HS code, certificate of analysis, shelf life, working capital.

Transaction structure

Element	Agreed terms
Price	USD 25.50 per carton of 1,000 gloves, **FCA Port Klang container terminal, Incoterms® 2020** → USD 61,200 per order
Payment	20% advance by T/T on order; 80% **documents against payment (D/P)** through banks under URC 522
Quality	Specifications per EN 455 / ASTM standards (as registered); pre-shipment inspection by an independent company at AQL 1.5; certificate of analysis per lot
Delivery	Within 35 days of advance; shelf life ≥ 30 months at shipment
Remedies	Rejection if inspection fails; replacement at supplier's cost; 0.5% per week delay penalty capped at 5%
Law and disputes	English law; arbitration (Asian International Arbitration Centre, Kuala Lumpur seat)

Negotiation process

The supplier initially asked for 50% advance and 50% before shipment. The buyer argued that as a first-time customer it could not prepay 100% to a new supplier; it proposed an L/C. The supplier preferred to avoid L/C costs and complexity. Compromise: **20% advance + 80% D/P**, with the buyer paying for pre-shipment inspection. The buyer accepted a 2% higher price in exchange for 12-month price stability.

Documents

Proforma invoice; purchase contract; product registration certificate; pre-shipment inspection certificate; commercial invoice; packing list; certificate of origin (for possible preferential treatment — check applic-

ability); certificate of analysis; bill of lading (consigned to order, endorsed through the collection); insurance certificate (buyer's open cover); collection instruction (supplier's bank); import declaration.

Financial calculations (per order)

Item	USD
Goods FCA (2,400 cartons × 25.50)	61,200
Freight Port Klang → Aqaba (2 × 40ft)	4,400
Insurance (buyer's open cover, 0.12% × 110% × CIF)	87
CIF value	**65,687**
Customs duty (assume 0% for medical gloves — verify)	0
Port, clearance, inspection fees at Aqaba	1,150
Inland transport Aqaba → Amman (2 × USD 600)	1,200
Pre-shipment inspection	450
Bank charges (T/T + collection, both sides)	380
Financing (advance 45 days; balance ~20 days until sales; 8%)	~280
Landed cost	**69,147**
Per carton	**28.81**
Local supplier price	33.00
Saving per carton	**4.19 (12.7%)**

Annual saving at 12 containers (14,400 cartons) ≈ **USD 60,300**. Working capital: average inventory rises from about 30 to 60 days of usage because of transit and order cycles → extra ~USD 68,000 of working capital (financing cost ~USD 5,500 a year), still far below the annual saving.

Risks and decisions

Risk	Decision / control
Supplier fails to ship after advance	Limit advance to 20% (USD 12,240); verify supplier (licences, audits, references)
Quality failure	Independent pre-shipment inspection with authority to reject; registration-compliant specs
Buyer refuses documents under D/P (from the supplier's view)	Supplier accepts this risk for a new customer because of the 20% advance
Regulatory delay (registration)	No order before registration is approved
FX	USD pricing; JOD pegged — low risk
Supply concentration	Keep the local supplier for 25% of volume during the first year

Failure scenarios and recommended controls

Scenario	Consequence	Control
Inspection fails (pinholes above AQL)	Shipment delayed; stock-out risk	Safety stock 4 weeks; contractual replacement within 14 days
Documents arrive after goods	Port storage and demurrage	Courier documents promptly; supplier's bank instructed to send by express
Shelf-life below hospital tender requirement	Rejection by customers	Contract minimum shelf life at shipment
Container damaged	Loss	Insurance; survey at arrival

Outcome and lessons

The first two orders passed inspection; landed cost was within 2% of plan. After three orders, the supplier accepted 100% D/P, reducing the buyer's prepayment risk to zero. **Lessons:** a balanced payment structure (small advance + D/P) can replace an L/C between new partners; independent inspection is the buyer's main protection in D/P because banks do not check goods; always compare suppliers on landed cost and include the working-capital effect of longer transit.

118.2 Case 2 — An exporter negotiates a three-year supply contract

Background. Nile Ceramics (fictional), an Egyptian tile manufacturer, negotiates a 3-year contract to supply a Saudi building-materials retailer with 1.5 million m² per year — USD 6.0m per year (USD 18m total). The retailer currently buys from Spain and China.

Participants. Exporter; Saudi retailer (buyer); exporter's bank; credit insurer; forwarder and shipping line; Saudi product-conformity bodies; lawyers.

Commercial objective. Exporter: secure base-load volume for a new production line with acceptable margin and payment security. Buyer: lower cost than Spanish tiles, quality comparable, reliable supply, and 90-day credit.

Relevant terminology. Take-or-pay, price-adjustment formula, open account, credit insurance, receivables financing, exclusivity, performance guarantee, FOB vs CFR, conformity certification, natural FX hedge.

Negotiation issues and outcomes

Issue	Buyer's position	Exporter's position	Agreed
Price	USD 3.80/m² CFR Dammam	USD 4.20	**USD 4.00 CFR**, fixed for 12 months
Price adjustment	None	Index to gas and freight	Annual review; adjustment if Egyptian industrial gas price or freight index moves > 8% (shared 50/50)
Volume	Flexible	Take-or-pay 1.5m m²	**Minimum 1.2m m²/year** (80%) with shortfall fee USD 0.40/m²
Payment	120 days open account	L/C at sight	**90 days open account**, credit-insured; 10% security via SBLC from buyer's bank
Quality	Spanish standard	Factory standard	Defined grade/tolerances, pre-shipment inspection by buyer's agent
Performance security	10% performance bond	None	**5% performance guarantee** (URDG 758)
Exclusivity	Exporter exclusive to buyer in Saudi Arabia	No restriction	Exclusive for retail channel only; projects open
Disputes	Saudi courts	London arbitration	Arbitration in a neutral regional centre; English-language proceedings

Financial calculations (year 1)

Item	USD m
Revenue (1.5m m² × 4.00)	6.00
Production cost (variable USD 2.55/m²; energy 30% of it)	(3.83)
Freight Damietta → Dammam (USD 0.32/m²)	(0.48)
Export documentation, inspection, conformity	(0.05)

Item	USD m
Credit insurance (0.35% of sales)	(0.02)
Receivables financing: 90 days on 90% of sales via insured factoring at 7%	(0.09)
Guarantee fees (5% performance guarantee at 1.2% p.a.)	(0.004)
Contribution	**1.53 (25.4%)**
Fixed costs of new line (incl. depreciation)	(0.90)
Operating profit from the contract	**0.63**

FX: revenue in USD, about 65% of costs in EGP → a natural long-USD position; EGP depreciation increases margins, while Egyptian inflation raises costs with a lag. The exporter converts USD only as needed for EGP costs and keeps USD for USD-denominated inputs and debt service.

Energy sensitivity: a 25% rise in gas cost raises variable cost by 0.30 × 0.25 × 2.55 = USD 0.19/m² → USD 0.29m a year; under the adjustment clause (beyond 8%, shared 50/50), the exporter recovers part from year 2.

Risks, failure scenarios and controls

Scenario	Control
Buyer insolvency or protracted default	Credit insurance (90% indemnity) + SBLC for 10%
Buyer orders below minimum	Shortfall fee; credit insurance covers only invoiced sales
Production problems → late deliveries → call on performance guarantee	Buffer stock in Dammam bonded warehouse; realistic delivery windows
Gas supply interruptions in summer	Inventory build-up before peak; force majeure clause covering government energy rationing
Conformity certificate delays	Start certification before contract signing

Outcome and lessons

Contract signed with insured open-account terms; the exporter's bank financed receivables at 90% because they were credit-insured. **Lessons:** trade multiple variables (price, volume floor, terms, security, adjustment clause); credit insurance can turn open-account terms into bankable assets; long contracts need price-adjustment mechanisms for volatile inputs.

118.3 Case 7 — A manufacturer negotiates with a distributor

Background. PureFlow Technologies (fictional), a Saudi manufacturer of water-filtration systems, appoints a distributor in Egypt. Annual target: 8,000 units in year 1, rising to 15,000 in year 3.

Participants. Manufacturer; candidate distributor (an Egyptian company with 60 dealers and service technicians); manufacturer's legal counsel; banks.

Commercial objective. Manufacturer: market entry with a committed partner, brand control, payment security. Distributor: exclusivity, competitive price, marketing support, protection of its investment.

Relevant terminology. Exclusivity, minimum purchase targets, territory, market development funds (MDF), resale price (competition law), SBLC, stock rotation, termination, after-sales service, registration of the agency/distributor (local law).

Key terms negotiated

Term	Outcome
Territory and exclusivity	Exclusive for Egypt for 3 years, conditional on minimum purchases (8,000 / 11,000 / 15,000 units)
Price	Distributor price USD 140 FCA Jeddah; recommended retail price equivalent ~USD 230 (distributor free to set resale prices)
Payment	60 days open account backed by an SBLC of USD 400,000 from an Egyptian bank (renewed annually)
Marketing	MDF of 3% of purchases, matched by distributor; joint annual marketing plan
Service	Distributor maintains 20 certified technicians and spare-parts stock for 2 months; manufacturer provides training
Stock rotation	Distributor may return up to 5% of annual purchases of slow models
Brand	Trademark registered by manufacturer in Egypt; licence to distributor during agreement
Termination	For missed targets (after 90-day cure), insolvency, breach; on expiry or termination, manufacturer buys back saleable stock at net cost minus 10%
Law	Saudi or English law with arbitration — subject to mandatory Egyptian rules on commercial agency/distribution, which local counsel must check

Calculations

Distributor's economics (year 1):

Item	USD
Purchases (8,000 × 140)	1,120,000
Freight, duties and clearance (assume 18% of FCA value)	201,600
Landed cost per unit	165.20
Average net selling price to dealers (dealers earn their own margin)	205.00
Gross margin per unit	39.80 (19.4%)
Total gross margin	318,400
Marketing (own share 3%)	(33,600)
Service team and spare parts	(120,000)
Warehouse, sales staff, admin	(95,000)
Financing (SBLC fee 1.5% + working capital)	(24,000)
Distributor operating profit	**45,800 (≈2.8% of sales)**

Thin in year 1; the distributor's case relies on growth to 15,000 units (fixed costs spread) and on service revenue (installations, filter replacements).

Manufacturer's economics: contribution per unit USD 52 (price 140 − variable cost 88) → USD 416,000 in year 1, minus MDF USD 33,600 and support costs USD 60,000 → **USD 322,400**.

Risks and controls

Risk	Control
Distributor fails to perform but has exclusivity	Targets with termination rights; non-exclusive conversion option
Payment default	SBLC covering ~4 months of purchases
EGP devaluation hurting distributor's competitiveness	Joint price review; manufacturer offers temporary price support in exchange for higher volumes

Risk	Control
Termination dispute (local protective laws)	Local legal advice before signing; clear contractual compensation formula
Brand misuse	Trademark owned by manufacturer; quality standards; audit rights

Outcome and lessons

Year 1 reached 7,600 units (95% of target); the manufacturer agreed a 90-day cure plan instead of termination. **Lessons:** distribution agreements must make the distributor's economics viable or it will under-invest; tie exclusivity to performance; payment security and trademark ownership are non-negotiable; local mandatory law on distribution/agency can override contract choices.

118.4 Case 11 — A logistics company calculates the profitability of a shipment

Background. Delta Clear Logistics (fictional, Dammam) is asked to quote a door-to-door shipment for an industrial customer: 2 × 40ft high-cube containers of machinery parts from a supplier near Stuttgart, Germany, to the customer's plant in Riyadh. Terms of sale between supplier and customer: FCA supplier's premises; Delta Clear acts as the customer's forwarder.

Participants. Forwarder (Delta Clear) and its German agent; trucking company in Germany; shipping line (Hamburg → Dammam); Saudi customs; Delta Clear's own trucks; customer.

Commercial objective. Win the shipment at a competitive price with at least 15% gross margin and no unpriced risks (demurrage, storage).

Cost build-up (buy rates)

Leg / item	USD
German agent: pickup Stuttgart → Hamburg (2 × 1,150)	2,300
Export customs documentation (agent)	180
Origin terminal handling (2 × 260)	520
Ocean freight Hamburg → Dammam incl. surcharges (2 × 2,450)	4,900
Destination THC and delivery order	760
Customs clearance (own brokerage, internal cost)	250
Trucking Dammam → Riyadh (own trucks, internal cost 2 × 780)	1,560
Insurance arranged for customer (0.15% on USD 420,000 × 110%)	693
Agent fee	150
Total cost	**11,313**

Pricing and profitability

	USD
Quoted price (all-in, excluding duties and VAT advanced at cost)	13,300
Gross profit	1,987 (14.9%)
Duty and VAT advanced for customer (5% duty on CIF ~USD 428,000 ≈ 21,400; VAT 15% ≈ 67,400)	Advanced at cost plus 1% disbursement fee = 888
Financing of advances: USD 88,800 for 30 days at 7%	(511)
Gross profit after disbursement economics	**2,364**
Allocated overheads (sales, operations, IT) at USD 450 per container	(900)

	USD
Net contribution to profit	**1,464 (≈ 11%)**

Risks and decisions

Risk	Decision
Customer pays at 60 days while Delta pays shipping line at 14 days and customs immediately	Price disbursement fee; credit limit; require duty pre-funding for large amounts
Demurrage if customer's documents (invoice, conformity certificates) are late	Quote states free time (7 days) and that D&D beyond free time caused by customer is re-invoiced at cost
Rate increases before booking	Quote valid 14 days; surcharges subject to carrier changes
Liability for cargo damage	Delta's standard trading conditions limit liability; customer advised to accept insurance (included)
Heavy machinery overweight for road limits	Verify weights in advance; use specialised trailers if needed

Failure scenarios and controls

- Customs reclassifies machinery parts → higher duty and inspection delay: confirm HS code with customer before shipment.
- Carrier rolls the containers to the next vessel: book early; monitor; notify customer immediately.
- Customer disputes invoice due to unclear scope: quotation lists inclusions and exclusions explicitly.

Outcome and lessons

Delta won the shipment at USD 13,300. A 3-day customs inspection was absorbed within free time. **Lessons:** forwarders must look beyond the freight margin to working capital (duty advances), credit risk and D&D exposure; clear scope and validity in quotations prevent margin leakage; disbursements are a financing service and should be priced.

PRACTICE · Practice questions on trade and supply deals

1. In Case 1, what would landed cost per carton be if freight doubled? Is the switch still worthwhile?
2. In Case 2, compute the shortfall fee if the buyer takes only 1.0m m² in a year.
3. In Case 7, what minimum annual volume would give the distributor a 6% operating margin, assuming fixed costs unchanged and the same unit economics?
4. In Case 11, what price would give 18% gross margin on the base costs (before disbursement effects)?

ANSWER · Answers to the practice questions on trade and supply deals

1. Freight +4,400 (insurance changes negligibly) → landed ≈ 73,547 → **USD 30.64 per carton**; saving vs local USD 33.00 = 7.1% — still worthwhile but below the 10% target; consider negotiating a freight contract.
2. Shortfall vs minimum 1.2m m² = 0.2m m² × 0.40 = **USD 80,000**.
3. Per unit gross margin 39.80 minus variable marketing (3% of 140 = 4.20) = 35.60 contribution; fixed costs: service 120,000 + overhead 95,000 + financing ~24,000 (assume fixed) = 239,000. Revenue per unit 205. Operating margin 6% → profit = 0.06 × 205 × V = 12.3V. 35.60V − 239,000 = 12.3V → V ≈ **10,258 units**.
4. Price = 11,313 ÷ (1 − 0.18) = **USD 13,796**.

CHAPTER 119

Banking and Financing Deals

LEARNING OBJECTIVES · In this chapter

Case 3 (a bank finances an importer), Case 4 (a business obtains a letter of credit) and Case 5 (a company negotiates a revolving credit facility).

119.1 Case 3 — A bank structures financing for an auto-parts importer

Background. Gulf Auto Parts Co. (fictional, Kuwait) imports spare parts from Japan, Korea and Germany and sells to workshops, dealers and fleet operators. Revenue USD 42m; EBITDA USD 4.6m; net debt USD 9.0m. It asks Training Bank (fictional) for USD 8m of facilities to replace a competitor bank.

Participants. Borrower and its owners; relationship manager; credit analyst; credit committee; trade-finance operations; external stock auditor; legal counsel.

Commercial objective. Bank: win a profitable relationship with acceptable risk and ancillary business (payments, payroll, FX). Borrower: larger and cheaper facilities, faster L/C processing, and 120-day import loans matching its stock cycle.

Relevant terminology. L/C line, trust receipt (TR) loan, borrowing base, cash margin, ageing, DIO, personal guarantee, covenant, RAROC, early-warning indicators.

Analysis highlights

Indicator	Value	Comment
Revenue growth (3-year CAGR)	9%	Stable aftermarket demand
Gross margin	31%	Typical for parts distribution
DIO	150 days	Long: wide SKU range (18,000 SKUs)
Stock older than 12 months	22% of inventory	Obsolescence risk
DSO	55 days	Fleet customers on 60–90 days
Net debt / EBITDA	1.96×	Moderate
EBITDA / interest	7.2×	Comfortable
Owners	Family, second generation	Good conduct; key-person risk

Key insight: the borrower asks for 120-day TR loans, but stock turns in about 150 days on average — and much slower for 22% of the stock. Funding long-tail inventory with short-term self-liquidating loans would create rollover pressure. The bank structures facilities around a **borrowing base** that excludes aged stock.

Structure approved

Facility	Limit (USD m)	Terms
Import L/C line (sight and usance up to 90 days)	5.0	0.20% per quarter issuance; 10% cash margin
Trust-receipt loans (sub-limit of L/C line)	(4.0)	120 days; ref. rate + 2.60%; drawn only within the borrowing base
Overdraft	1.0	Ref. + 3.0%; annual review

Facility	Limit (USD m)	Terms
Letters of guarantee (customs, tenders)	1.0	0.9% p.a.; 20% cash margin on tender bonds
Borrowing base	—	80% of receivables < 90 days + 50% of inventory < 12 months, minus outstanding TR loans and overdraft
Security	—	Personal guarantees of two shareholders; assignment of insurance; pledge over stock in the main warehouse (where local law and practice allow)
Covenants	—	Net debt/EBITDA ≤ 3.0×; EBITDA/interest ≥ 3.5×; stock audit annually; monthly borrowing-base report

Borrowing base at approval: receivables < 90 days USD 5.6m × 80% = 4.48; inventory < 12 months USD 10.5m × 50% = 5.25 → base **USD 9.73m**, comfortably above expected peak usage of USD 5.0m (TR + overdraft).

Pricing and return to the bank

Item	USD
Interest margin on average USD 3.5m drawn × 2.7%	94,500
L/C commissions (USD 18m issued per year × 0.20% per quarter × avg 1.5 quarters)	54,000
Guarantee fees	7,200
FX income on ~USD 20m conversions at 0.15%	30,000
Payment and payroll fees	18,000
Total revenue	**203,700**
Expected loss (PD 1.2% × LGD 45% × average exposure 6.5m)	(35,100)
Operating costs	(45,000)
Pre-tax risk-adjusted income	**123,600**
Allocated capital (risk-weighted exposure ~USD 5.5m × 12%)	660,000
RAROC (pre-tax)	**≈ 18.7%**

Failure scenarios and controls

Scenario	Early warning	Control
Obsolete stock inflates inventory	Rising ageing; falling turnover	Borrowing base excludes stock > 12 months; annual independent stock audit
Stock pledged to two banks	Discrepancies in reports	Registered pledge; negative pledge; bank statements of other lenders
Major fleet customer defaults	DSO increase; concentration	Concentration limit (no customer > 15% of eligible receivables)
Funds diverted to owners' real estate	Large transfers to related parties	Dividend restriction above 2.5× leverage; account monitoring
Supplier price increases (JPY, EUR)	Margin decline	Encourage FX hedging with the bank

Outcome and lessons

The bank won the relationship; the borrower obtained larger L/C capacity and lower pricing than its previous bank, but accepted the borrowing-base discipline. **Lessons:** match facility type to the asset cycle; exclude weak collateral rather than lending against it; a bank's return depends heavily on ancillary business; monitoring requirements are part of the price of credit.

119.2 Case 4 — A construction company obtains a letter of credit

Background. Muscat Builders LLC (fictional, Oman) buys 2,000 tonnes of steel rebar from an Indian mill: **USD 680 per tonne CFR Sohar, Incoterms® 2020 → USD 1,360,000**. The mill requires an irrevocable L/C at sight; the builder asks for 90-day usance to match its project billing cycle.

Participants. Applicant (builder); issuing bank (Omani bank, fictional); beneficiary (Indian mill); advising/negotiating bank in India; shipping line; inspection company; insurer (buyer's cover).

Commercial objective. Builder: obtain the L/C quickly, protect itself against wrong goods and late shipment, and obtain 90 days' credit. Mill: payment security with documents it can actually produce.

Steps

1. **Credit line:** the builder had an L/C line of USD 3m with 10% cash margin; available headroom USD 1.9m — sufficient.
2. **Negotiation of usance:** the mill agreed to a **usance L/C, 90 days after B/L date, "usance payable at sight" (UPAS)** — the mill is paid at sight by the negotiating bank, while the builder pays at 90 days; the builder bears the discount interest.
3. **Drafting the L/C application** (key fields chosen by the builder's procurement and finance teams with the bank's trade advisor):

Field	Choice	Reason
Amount and tolerance	USD 1,360,000, ±5%	Matches quantity tolerance in contract
Goods description	"2,000 MT (±5%) deformed steel bars, grade B500B per BS 4449, sizes per contract no. MB-2026-07, CFR Sohar Incoterms® 2020"	Precise but not over-detailed (avoids trivial discrepancies)
Latest shipment date / expiry	15 August / 5 September	Contract delivery plus presentation time
Partial shipments	Allowed	Mill may ship in two vessels
Documents	Commercial invoice; packing list (bundle list); full set clean on-board B/L to order of issuing bank, freight prepaid; mill test certificates; **inspection certificate issued by an independent inspection company** stating quantity and conformity to BS 4449 grade B500B; certificate of origin	Independent inspection protects the buyer against wrong grade
Insurance	Covered by applicant	CFR terms; buyer's open cover
Presentation period	21 days after shipment	Standard
Charges	Outside Oman for beneficiary	Common allocation

A trap avoided: the mill's draft proposed "certificate of quality issued by the beneficiary" — worthless as protection. The builder insisted on an independent inspection certificate; the mill agreed if the inspection company was named in advance and its cost shared 50/50.

Costs to the applicant

Item	Calculation	USD
Issuance commission	0.30% per quarter × 2 quarters × 1.36m	8,160
SWIFT and courier		160
Amendment (shipment date extension)		100

Item	Calculation	USD
Discount interest (UPAS) for 90 days	1.36m × 6.8% × 90/360	23,120
Opportunity cost of 10% cash margin for ~6 months at 4%	136,000 × 4% × 0.5	2,720
Inspection cost share		1,500
Total	**≈ 2.6% of goods value**	**35,760**

Without usance, the builder would have borrowed on its overdraft at 8.5% for 90 days (USD 28,900) — UPAS was cheaper and preserved overdraft headroom.

Risks, failure scenarios and controls

Scenario	Control
Mill ships wrong grade but documents comply	Independent inspection certificate as a required document
Shipment delayed beyond latest date	Mill requests amendment; builder can refuse if delay hurts the project (but then has no steel) — contract delay penalties as separate remedy
Steel price falls before shipment	Builder bound to pay compliant documents — price risk is the buyer's once the contract is fixed
Fraudulent documents	Banks check apparent compliance only; choose reputable mill, verify B/L via carrier
Builder cannot pay at maturity	Bank's risk; secured by cash margin, B/L to its order and the credit line

Outcome and lessons

The L/C was issued within three days; one amendment extended shipment by 10 days. Documents were compliant; the builder received the goods and paid at 90 days. **Lessons:** the applicant controls its protection through the documents it requires; usance structures align payment with the buyer's cash cycle; L/C costs are significant and must be included in project pricing.

119.3 Case 5 — A company negotiates a revolving credit facility

Background. Gulf Logistics Group (fictional, UAE) — revenue USD 310m, EBITDA USD 52m (post-IFRS 16; USD 41m pre-IFRS 16), net debt USD 95m excluding leases — wants a USD 75m, 3-year committed RCF from three relationship banks (a club deal) to replace bilateral overdrafts and fund acquisitions.

Participants. CFO and treasury; three banks (one as coordinator and agent); lawyers for borrower and lenders; material subsidiaries as guarantors.

Commercial objective. Committed liquidity at the lowest all-in cost with covenants that leave headroom for acquisitions and downturns.

Term sheet negotiation

Term	Banks' initial proposal	Negotiated outcome
Amount / tenor	USD 75m, 3 years	USD 75m, 3 years + two 1-year extension options; USD 25m uncommitted accordion
Margin	Ref. + 2.10% flat	Margin grid by net leverage: < 1.5× 1.60%; 1.5–2.5× 1.85%; > 2.5× 2.20%
Commitment fee	40% of margin	35% of applicable margin
Utilisation fee	0.20% above 50% usage	0.10% above 33%; 0.20% above 66%
Upfront fee	0.75%	0.50%

Term	Banks' initial proposal	Negotiated outcome
Leverage covenant	Net debt/EBITDA ≤ 2.75×	≤ 3.25× (pre-IFRS 16 basis, excluding lease liabilities), stepping up to 3.75× for 12 months after an acquisition above USD 30m
Interest cover	EBITDA/interest ≥ 5.0×	≥ 4.0×
EBITDA definition	Strict, no add-backs	Pro forma for acquisitions; synergies add-backs capped at 10% of EBITDA
Equity cure	None	Allowed twice over the life, not in consecutive quarters
Guarantor coverage	Subsidiaries representing 90% of EBITDA and assets	80%
Negative pledge	No exceptions	Baskets: existing asset finance; vehicle leases; USD 15m general basket
Dividends	Restricted above 2.5×	Permitted if pro forma leverage < 3.0×
Sustainability-linked margin	—	±5 bps based on fleet emissions intensity KPI, externally verified

Cost calculation (expected average utilisation 40%, leverage 1.8×, reference rate 4.3%)

Item	Calculation	USD per year
Interest on drawn	30m × (4.3% + 1.85%)	1,845,000
Commitment fee on undrawn	45m × (35% × 1.85%)	291,375
Utilisation fee (usage 40% > 33%)	30m × 0.10%	30,000
Upfront fee amortised	75m × 0.50% ÷ 3	125,000
Agency fee		30,000
Total	**Of which costs beyond the reference rate ≈ USD 1.03m (≈ 3.4% of the average drawn amount)**	**2,321,375**

Covenant headroom test

Scenario	EBITDA pre-IFRS 16	Net debt (excl. leases)	Leverage	Headroom vs 3.25×
Base	41.0	95	2.32×	29%
Downside (–20% EBITDA)	32.8	100	3.05×	6%
Acquisition of USD 40m target (EBITDA 5m)	46.0	135	2.93×	22% vs 3.75× step-up
Acquisition + downside (–20% on combined EBITDA)	36.8	140	3.80×	**Breach** of the 3.75× step-up

Failure scenarios and controls

- Downturn combined with an acquisition → covenant breach: fund part of any acquisition with equity or delay it if the downside materialises; forecast covenants quarterly and negotiate a waiver early if needed.
- One bank exits at extension → extension only for consenting lenders; maintain relationships with other banks.
- Interest rates rise → hedge 50% of expected drawn amounts with swaps.

Outcome and lessons

The facility was signed in 10 weeks. **Lessons:** covenant definitions (EBITDA basis, add-backs, IFRS 16) can matter more than margin; negotiate headroom against the downside plus planned acquisitions; compare costs at realistic utilisation; flexibility features (accordion, extensions, equity cure, baskets) have real value.

CHAPTER 120

Commodity and Treasury Deals

LEARNING OBJECTIVES · In this chapter

Case 6 (a commodity trader buys and resells a physical sugar cargo) and Case 13 (a company manages a currency exposure).

120.1 Case 6 — A trader purchases and resells a cargo of raw sugar

Background. Meridian Softs (fictional), a trading house, buys 50,000 tonnes (±5%) of Brazilian raw sugar FOB Santos and sells it to a refinery in the UAE CFR Jebel Ali.

Participants. Brazilian seller (a sugar mill's trading arm); trader; refinery (buyer); shipowner (voyage charter); ship broker; inspection companies (load and discharge); trade-finance bank; futures broker (ICE); cargo insurer.

Commercial objective. Earn a spread between the CFR sale premium and the FOB purchase premium plus freight and costs, without taking flat-price risk.

Relevant terminology. ICE Sugar No. 11, premium/differential, polarisation, pricing period, voyage charter, laytime and demurrage, L/C, hedge lots, variation margin.

Pricing structure

	Purchase	Sale
Basis	ICE No. 11 May futures, average of seller's pricing days in April	ICE No. 11 May futures, average of buyer's pricing days in April
Premium	+ 0.40 ¢/lb FOB Santos	+ 2.60 ¢/lb CFR Jebel Ali
Quality	Polarisation 96° basis with scale adjustments	Same
Payment	Trader's L/C at sight	Refinery's L/C at sight (unconfirmed, strong UAE bank)

Unit conversion: 1 metric tonne = 2,204.62 lb → **1 ¢/lb = USD 22.0462 per tonne**. One ICE No. 11 contract = 112,000 lb; 50,000 t ≈ 984 lots.

Hedging

The trader's exposure arises because purchase and sale price on different days. As the seller prices (fixing the purchase), the trader **sells** futures; as the buyer prices (fixing the sale), the trader **buys back** futures. Outcome assumed: purchase pricing average 19.50 ¢/lb; sale pricing average 19.20 ¢/lb.

P&L

Item	Calculation	USD
Sale	(19.20 + 2.60) × 22.0462 × 50,000	24,030,358
Purchase	(19.50 + 0.40) × 22.0462 × 50,000	(21,935,969)
Physical result		**2,094,389**
Futures hedge result	+0.30 ¢/lb × 22.0462 × 50,000	330,693
Hedged gross spread (2.20 ¢/lb = USD 48.50/t)		**2,425,082**

Item	Calculation	USD
Ocean freight (Supramax voyage charter, USD 38/t)		(1,900,000)
Gross margin after freight	**USD 10.50/t**	**525,082**
Cargo insurance	0.06% × 110% × sales	(15,860)
Inspection and superintendence (load + discharge)	USD 0.25/t	(12,500)
Purchase L/C issuance	0.10%	(21,936)
Negotiation charges on sale L/C	0.05%	(12,015)
Financing: 85% of purchase for 45 days at 6.5%		(151,496)
Futures commissions (984 lots × 2 × USD 3)		(5,904)
Net demurrage at Santos (congestion)	USD 0.60/t	(30,000)
Quality claim reserve	0.1% of sales	(24,030)
Net profit	**USD 5.03/t; 1.05% of sales**	**251,341**

Risks, failure scenarios and controls

Scenario	Impact	Control
Sugar rallies 3 ¢/lb during the hedge period	Variation margin calls ≈ 3 × 0.01 × 112,000 × 984 = **USD 3.31m** before the physical sale is paid	Margin-financing line with the bank; liquidity buffer
Congestion at Santos: 12 extra days at USD 25,000/day not recoverable	–USD 300,000 → **loss**	Laytime terms aligned in purchase contract; choose berths; build demurrage into pricing
Refinery rejects documents for discrepancy in a falling market	Delay, possible price renegotiation	Document checks; experienced operations team
Polarisation below basis	Price reduction per scale	Load-port inspection; supplier quality history
Seller fails to deliver	Buy replacement cargo at market	Seller KYC and track record; performance clauses; trade-association arbitration

Outcome and lessons

The cargo loaded with 4 days of demurrage (within estimate) and discharged on time. **Lessons:** the trader's profit is the premium spread minus logistics and financing, not a bet on sugar prices; hedging transforms price risk into **liquidity** risk (margin calls) that must be financed; demurrage alone can erase a bulk margin.

120.2 Case 13 — A company manages a currency exposure

Background. Delta Cotton Mills (fictional), an Egyptian yarn and fabric exporter, sells EUR 24m a year to European buyers. Costs: imported cotton USD 9.0m; EGP costs (labour, energy, local inputs) EGP 672m; USD-denominated loan of USD 15m at 8% interest. Baseline rates: EUR/USD 1.08; USD/EGP 48.

Participants. CFO and treasury; banks providing FX forwards; board (approves hedging policy); European buyers; cotton suppliers.

Commercial objective. Protect the margin and USD debt service from EUR/USD moves; manage EGP volatility; comply with local FX regulations and bank requirements.

Exposure map (annual, USD m equivalent at baseline)

Item	Currency	Amount	Direction
Sales	EUR	25.92 (EUR 24m)	Long EUR
Cotton	USD	9.00	Short USD
Interest on loan	USD	1.20	Short USD
Local costs	EGP	14.00 (EGP 672m)	Short EGP
Profit		**1.72**	

Net position: long EUR, short USD and EGP. A weaker EUR against USD hurts directly; a weaker EGP **helps** (local costs fall in USD terms), at least until local inflation catches up.

Strategy chosen

1. **Hedge EUR/USD:** sell EUR forward against USD on a layered basis — 75% of the next 6 months' receipts, 50% of months 7–12 — at an average forward rate of 1.09 (EUR at a forward premium to USD reflecting the interest differential).
2. **Natural hedge:** invoice 20% of new European contracts in USD where buyers accept.
3. **EGP:** convert EUR/USD proceeds to EGP monthly according to needs; no speculative holding of EGP or USD beyond policy limits.
4. **Debt:** consider refinancing part of the USD loan in EUR to match EUR revenue (a further natural hedge).

Scenarios (annual profit, USD m)

Scenario	Unhedged	With 75% EUR hedge at 1.09
Baseline (1.08; 48)	1.72	1.90
EUR/USD falls to 0.97 (EGP unchanged)	−0.92	1.24
USD/EGP rises to 58 (EUR unchanged)	4.13	4.31
Both (0.97 and 58)	1.49	3.65

Calculations: hedged revenue in the EUR-fall case = EUR 18m × 1.09 + EUR 6m × 0.97 = USD 25.44m; EGP costs at 58 = 672 ÷ 58 = USD 11.59m.

Failure scenarios and controls

Scenario	Control
Over-hedging if European orders fall	Hedge only firm orders and a conservative share of forecasts
Banks unable to provide forwards (local market restrictions)	Use offshore hedging if permitted, or USD invoicing
EGP depreciation followed by high local inflation	Budget wages and energy at expected inflation; adjust prices to European buyers only where competitive
Treasury takes speculative positions	Board-approved policy, limits, segregation of duties, monthly reporting

Outcome and lessons

When EUR/USD fell 6% during the year, the hedged programme kept profit close to budget. **Lessons:** map exposures by currency before choosing instruments; natural hedges (invoice currency, debt currency) often beat derivatives; layered hedging smooths results; hedging policy must avoid speculation and over-hedging.

PRACTICE · Practice questions on banking, commodity and treasury deals

1. In Case 3, receivables < 90 days fall to USD 4.0m and young inventory to USD 9.0m while TR loans plus overdraft total USD 6.5m. Is the borrower within the borrowing base?
2. In Case 4, how much would the builder save if the bank reduced issuance commission to 0.20% per quarter?
3. In Case 5, recompute the annual cost at 80% utilisation (leverage still 1.8×).
4. In Case 6, what sale premium would make net profit zero (other costs unchanged)?
5. In Case 13, what profit results with no hedge if EUR/USD rises to 1.18 (EGP unchanged)? What with the 75% hedge?

ANSWER · Answers to the practice questions on banking, commodity and treasury deals

1. Base = 4.0 × 80% + 9.0 × 50% = 3.2 + 4.5 = **USD 7.7m** > 6.5m → within the base (headroom USD 1.2m), but trending down; the RM should investigate.
2. Saving = 0.10% × 2 × 1.36m = **USD 2,720**.
3. Drawn 60m × 6.15% = 3,690,000; undrawn 15m × 0.6475% = 97,125; utilisation fee 60m × 0.20% = 120,000; upfront 125,000; agency 30,000 → **≈ USD 4.06m**.
4. Net profit is USD 251,341; each 0.01 ¢/lb of premium = 0.01 × 22.0462 × 50,000 = USD 11,023 (slightly less after percentage-based costs). Break-even premium ≈ 2.60 − 251,341 ÷ 11,023 × 0.01 ≈ **2.37 ¢/lb**.
5. Unhedged: revenue 24 × 1.18 = 28.32 → profit = 28.32 − 9.0 − 1.2 − 14.0 = **USD 4.12m**. Hedged: 18 × 1.09 + 6 × 1.18 = 19.62 + 7.08 = 26.70 → profit **USD 2.50m**. The hedge gives up upside — the price of certainty.

CHAPTER 121

Investment, Corporate and Capital Deals

LEARNING OBJECTIVES · In this chapter

Case 8 (an investor evaluates a private company), Case 9 (an entrepreneur raises startup capital), Case 10 (a company acquires a competitor) and Case 12 (a business evaluates a capital investment).

121.1 Case 8 — A family office evaluates a minority stake in a private company

Background. Al-Bahar Family Office (fictional) considers buying 30% of SmileCare Clinics (fictional), a chain of 14 dental clinics in Bahrain founded by two dentists. The founders want capital to open 6 new clinics and partial liquidity.

Participants. Family office investment team; founders; financial due-diligence provider; legal counsel; healthcare regulatory advisor; bank (existing lender to SmileCare).

Commercial objective. Investor: a 15–20% IRR over 5 years with protections as a minority shareholder. Founders: growth capital, partial cash-out, continued control.

Relevant terminology. Quality of earnings (QoE), normalised EBITDA, related-party transactions, primary vs secondary shares, earn-out, shareholder agreement, reserved matters, tag-along, put option, MOIC, IRR.

Quality of earnings

Item	USD m
Reported EBITDA (pre-IFRS 16)	5.00
Founders' salaries below market for their clinical and management roles	(0.60)
One-off gain on sale of old equipment	(0.20)
Rent paid to a founder-owned building below market	(0.30)
Pre-opening costs of two clinics opened late in the year (non-recurring)	0.25
Normalised EBITDA	**4.15**

Other findings: patient-insurance receivables average 95 days (claims rejections 6%); two clinics operate under licences in a founder's personal name (must be transferred); dentists' contracts lack non-compete clauses; patient data stored without adequate access controls (data-protection compliance gap).

Valuation

Method	Range
Comparable private healthcare transactions (8–9× EBITDA)	EV USD 33.2–37.4m
DCF (WACC 12%, including 6 new clinics with execution risk)	EV USD 34–40m
Net debt (pre-IFRS 16)	USD 6.0m
Equity value range	**USD 27–34m**

The founders initially asked USD 12m for 30% (implying USD 40m equity).

Negotiated structure

- Purchase of 30% for **USD 9.6m** (implied equity USD 32m): USD 5.0m **primary** (new shares, cash to the company for expansion) and USD 4.6m **secondary** (cash to founders).
- **Earn-out:** an additional USD 1.2m to the founders if normalised EBITDA reaches USD 5.0m in year 2.
- **Conditions precedent:** licence transfers to the company; arm's-length lease with the founder's building; data-protection remediation plan; key dentists sign contracts with non-solicitation clauses (enforceability checked locally).
- **Shareholder agreement:** two of five board seats; reserved matters (budget, debt above USD 3m, new clinics outside Bahrain, related-party transactions, dividend policy, senior hires); information rights (monthly KPIs); tag-along; drag-along above a valuation threshold; **put option** at fair value after 6 years if no exit has occurred.

Return calculation

Plan: 20 clinics; EBITDA USD 7.5m in year 5; exit at 9× → EV 67.5m; net debt 4.0m → equity 63.5m. Investor's 30% = USD 19.05m, plus dividends USD 2.5m over the period.

- Without earn-out: MOIC = (19.05 + 2.5) ÷ 9.6 = **2.24×**; IRR ≈ **17.5%**.
- With earn-out paid (total cost USD 10.8m): MOIC ≈ **2.0×**; IRR ≈ **15%**.

Failure scenarios and controls

Scenario	Control
New clinics ramp slowly	Phased capital release; KPI review before each opening
Founders' conflict or departure	Leaver provisions; key-person insurance; management depth plan
Regulatory sanction (licences, data)	CPs; compliance officer; annual audit
No exit route	Put option; drag-along; IPO readiness plan

Outcome and lessons

The deal closed after 4 months; the earn-out was triggered in year 2. **Lessons:** normalise earnings before valuing a private company; separate primary and secondary capital; minority investors protect themselves through governance rights and exit mechanisms, not just price.

121.2 Case 9 — An entrepreneur raises startup capital

Background. Tasdeed (fictional), a Saudi B2B payments startup, helps SMEs collect invoices digitally. Metrics: annualised revenue USD 2.4m (growing ~150% year on year), gross margin 55%, net burn USD 350,000/month, cash runway 7 months. Earlier, the founders raised USD 0.5m on a post-money SAFE with a USD 5m cap. Pre-round ownership: founders 88.5%, SAFE holders 10% (on conversion), existing option pool 1.5%.

Participants. Two founders; existing SAFE investors; two venture capital funds; lawyers.

Commercial objective. Raise USD 4m to reach profitability-or-next-round milestones in 18–24 months, at acceptable dilution and terms.

Competing term sheets

Term	VC A	VC B
Amount	USD 4m	USD 4m
Pre-money valuation	USD 16m	USD 18m

Term	VC A	VC B
Option pool	Top-up to 15% post-money, included in pre-money	Top-up to 10% post-money, in pre-money
Liquidation preference	1× non-participating	1.5× participating, capped at 3×
Board	2 founders, 1 VC A, 1 independent (mutually agreed)	2 founders, 2 VC B, 1 independent chosen by VC B
Anti-dilution	Broad-based weighted average	Full ratchet

Ownership after the round

Holder	VC A deal	VC B deal
Founders	58.4%	64.5%
SAFE holders	6.6%	7.3%
Option pool	15.0%	10.0%
New investor	20.0%	18.2%

(VC A: post-money 20m → investor 20%; pool 15%; remaining 65% split 88.5 : 10. VC B: post-money 22m → investor 18.2%; pool 10%; remaining 71.8%.)

Founders' proceeds in exits

Exit value	VC A deal	VC B deal
USD 40m	Investor converts (20% × 40 = 8m > 4m) → founders 58.4% × 40 = **USD 23.4m**	Investor takes 1.5× preference (6m) + 18.2% of remaining 34m (6.2m) = 12.2m → capped at 3× = 12m; remaining 28m shared by others → founders 64.5/81.8 × 28 = **USD 22.1m**
USD 150m	Founders 58.4% × 150 = **USD 87.6m**	Investor converts (18.2% × 150 = 27.3m > 12m cap) → founders 64.5% × 150 = **USD 96.8m**

VC B's higher headline valuation is worth more to founders only in large exits; in modest outcomes its preference terms take more. Full-ratchet anti-dilution and board control are additional risks.

Negotiation and outcome

The founders used the two offers to negotiate with VC A: **USD 17m pre-money, 12% post-money pool, 1× non-participating preference, broad-based weighted-average anti-dilution, 2–1–1 board composition with a mutually agreed independent director**. Resulting ownership: investor 19.0%, pool 12%, founders 62.0%, SAFE holders 7.0%.

Use of funds and milestones

Use	USD m
Product and engineering	1.6
Sales and partnerships (banks, ERPs)	1.3
Compliance and licensing	0.4
Working capital and buffer	0.7

Milestones for the next round: annualised revenue USD 8m, gross margin 60%, burn multiple below 1.5, payment-institution licence obtained.

Lessons

Compare term sheets on outcomes, not headlines; understand preference mechanics and anti-dilution; governance terms matter for control; raise with at least 6–9 months of runway left to negotiate from strength.

121.3 Case 10 — A company acquires a competitor

Background. Levant Snacks Group (fictional, UAE-based; EBITDA USD 25m; net debt USD 35m) agrees to acquire Desert Snacks Co. (fictional, Saudi Arabia; revenue USD 60m; EBITDA USD 7.5m; net debt USD 10m) to gain Saudi distribution and production capacity.

Participants. Acquirer's board and corporate development team; target's founding family; M&A advisers; lenders; lawyers; financial, tax, commercial and environmental due-diligence providers; W&I insurer; competition authority.

Commercial objective. Create value through market access and synergies at a price that leaves a margin of safety.

Valuation and price

- **Price:** enterprise value USD 60m (8.0× EBITDA) on a cash-free, debt-free basis → equity price USD 50m after deducting net debt.
- **Standalone DCF value of target:** EV ≈ USD 55m (the price includes a premium of ~USD 5m).
- **Synergies (run-rate by year 3):** procurement USD 0.72m (2% of target COGS of USD 36m); distribution consolidation USD 0.90m; overheads USD 0.60m → cost synergies **USD 2.22m**; revenue synergies (cross-selling) USD 1.0m gross profit, risk-weighted at 50%. One-off integration costs USD 3.0m.
- **PV of net synergies** (after tax 15%, discount rate 10%, growth 2%, phased in over 3 years) ≈ **USD 20m**.
- **Value created** ≈ 55 + 20 − 60 − 1.5 (transaction costs) ≈ **+USD 13.5m** — positive, but dependent on delivering most synergies.

Financing and pro forma leverage

Item	USD m
Uses: equity price 50 + refinancing target debt 10 + fees 1.5	61.5
Sources: acquisition term loan 45 + cash 16.5	61.5
Pro forma net debt (35 + 61.5)	96.5
Pro forma EBITDA (25 + 7.5)	32.5
Pro forma leverage	**2.97×**
With run-rate cost synergies (34.7)	2.78×

Lenders required leverage below 3.25× at closing, stepping down to 2.5× by year 3.

SPA and protections

Locked-box mechanism (price fixed on the 31 December balance sheet; seller compensates any "leakage" such as dividends after that date); warranties on accounts, tax, licences, IP, employees and litigation; **W&I insurance** (limit 10% of EV, retention 0.5% of EV) replacing most of the seller's warranty liability; **specific indemnity** for an open tax assessment; 3-year non-compete for the family; **conditions precedent:** competition clearance, lender funding, no material adverse change; long-stop date 6 months.

Integration plan (first 100 days)

Retention bonuses for 12 key managers; keep the Desert brand; joint procurement team from month 2; distribution routes merged in Riyadh from month 4; ERP migration deferred to month 12; synergy tracker reported monthly to the board.

Failure scenarios and controls

Scenario	Control
A major Saudi distributor terminates its relationship	Pre-closing customer and distributor calls; transition incentives
Synergies delayed	Owner per synergy; monthly tracking; conservative bank case
Hidden liabilities (e.g., zakat/tax, labour)	Due diligence; specific indemnity; W&I insurance
Covenant pressure in a downturn	Equity cure rights; reduced dividends; working-capital programme

Outcome and lessons

By year 2, 80% of cost synergies were achieved; one regional distributor was lost (−USD 0.4m EBITDA). Leverage reached 2.4× by year 3. **Lessons:** pay for synergies only partly; protect against the unknown with DD, W&I and indemnities; leverage after an acquisition must survive a downside; integration execution decides value.

121.4 Case 12 — A business evaluates a capital investment: rooftop solar

Background. Golden Loaf Bakeries (fictional) operates a large bakery with high daytime electricity consumption. It evaluates a 1 MWp rooftop and carport solar PV system to reduce grid purchases. (Assumptions are illustrative; net-metering rules, tariffs and permits vary by country and must be verified.)

Participants. CFO; operations director; EPC contractor; utility/regulator (connection approval); bank (possible financing); a solar developer offering a power purchase agreement (PPA) alternative.

Commercial objective. Reduce energy costs and exposure to tariff increases with an attractive return.

Assumptions

Item	Value
Capex (turnkey)	USD 750,000
Year-1 generation	1,650 MWh (all consumed on site)
Avoided grid tariff	USD 0.16/kWh, rising 2% a year
Panel degradation	0.5% a year
O&M	USD 12,000 a year, rising 2%
Inverter replacement (year 12)	USD 60,000
Life	25 years
Tax	20%; straight-line tax depreciation over 10 years
Discount rate	10%

Calculation (rounded)

- Year-1 savings = 1,650,000 kWh × 0.16 = **USD 264,000**; net of O&M = 252,000; growth ≈ +1.5% a year (tariff +2%, degradation −0.5%).
- Years 1–10: tax = 20% × (252,000 − 75,000 depreciation) ≈ 35,400 → after-tax cash flow ≈ **USD 216,600** in year 1, growing ~1.5%. PV ≈ **USD 1.41m**.

- Years 11–25: no depreciation shield → after-tax cash flow ≈ USD 234,000 in year 11 growing ~1.5%. PV ≈ **USD 0.74m**.
- Inverter replacement (after tax) PV ≈ −USD 0.02m.
- **NPV ≈ USD 1.39m; IRR ≈ 30%; payback ≈ 3.4 years.**

Sensitivity: with an avoided tariff of USD 0.12/kWh, NPV ≈ USD 0.85m — still attractive.

Alternative: power purchase agreement (PPA)

A developer offers to install and own the system and sell electricity to the bakery at USD 0.11/kWh for 20 years (no capex). Year-1 saving = 1,650 MWh × (0.16 − 0.11) = USD 82,500, growing with the tariff spread. PV over 20 years ≈ USD 0.8–0.9m with no capital outlay and no operating risk.

Decision

	Own (capex)	PPA
Capital required	USD 750k	None
NPV	~USD 1.39m	~USD 0.85m
Risks borne	Performance, O&M, technology	Mostly developer's
Balance-sheet / covenant effect	Capex; possibly debt	PPA may be a lease-like commitment (check IFRS 16 analysis)

Recommendation: own the system, financed 70% by a 7-year green term loan, because returns far exceed the cost of capital and the bakery has capacity to manage O&M contracts; if capital were constrained, the PPA would still create value.

Lessons

Capital projects should be compared with alternative structures (ownership, leasing, PPA); tax shields and escalation assumptions matter; sensitivity analysis protects against over-optimistic energy-price assumptions.

CHAPTER 122

Technology and Insurance Deals

LEARNING OBJECTIVES · In this chapter

Case 14 (a technology company evaluates moving to a SaaS business model) and Case 15 (an insurer underwrites a commercial risk).

122.1 Case 14 — A software company evaluates a SaaS business model

Background. OrbitERP (fictional), a Gulf-based vendor of ERP software for SMEs, sells perpetual licences (USD 50k per new customer) plus 20% annual maintenance and implementation services. Revenue USD 12m: licences USD 5.0m (100 new customers), maintenance USD 4.0m (on an installed licence base of USD 20m), services USD 3.0m. The board considers selling all new contracts as SaaS at USD 1,500/month (USD 18k/year).

Participants. CEO, CFO, head of sales, product/cloud team, board, bank, prospective growth investor.

Commercial objective. Increase recurring revenue and enterprise value while surviving the transition dip.

Customer-level comparison

Cumulative revenue per customer (USD k)	Year 1	Year 3	Year 5	Year 7
Perpetual licence + 20% maintenance	50	70	90	110
SaaS at 18k/year	18	54	90	126

The SaaS customer becomes more valuable after year 5 (if retained), with steadier cash flows — but much less is received upfront.

Four-year company projection (USD m; new customers 100, 110, 120, 130; churn ignored for simplicity)

	Y1	Y2	Y3	Y4
Licence model revenue	12.0	13.8	15.7	17.7
SaaS model revenue	7.3	9.4	11.7	14.1
Revenue gap	(4.7)	(4.4)	(4.0)	(3.6)
SaaS model: ARR at year-end (SaaS only)	1.8	3.8	5.9	8.3
SaaS model: total recurring (SaaS + maintenance 4.0)	5.8	7.8	9.9	12.3

(Licence model: licences 5.0/5.5/6.0/6.5 + maintenance 4.0/5.0/6.1/7.3 + services. SaaS model: subscription revenue on average customers in the year + maintenance on the existing base 4.0 + lower services.)

Profit and cash: with hosting costs (SaaS gross margin ~75% vs ~95% for licences), cumulative EBITDA over four years is roughly USD 14m lower under SaaS; the company would need about USD 8–10m of funding to cover losses during the transition.

Valuation: a licence-model business might be valued around 3× revenue (Y4: ~USD 53m); a SaaS business with strong retention might command ~6× recurring revenue (Y4: 12.3 × 6 ≈ USD 74m). Value creation depends on retention, growth and the investor market at the time.

Decision and plan

Hybrid transition: SaaS for all new SME customers; licences remain available for large customers demanding on-premise deployment; migrate maintenance customers to SaaS with credits for licences already paid; raise USD 10m of growth equity; track ARR, net revenue retention, CAC payback and gross margin monthly.

Failure scenarios and controls

Scenario	Control
Churn higher than expected	Customer success team; annual prepayment discounts; integration features
Cash shortfall in the "SaaS valley"	Equity raised upfront; annual billing in advance
Cloud costs erode margin	Architecture optimisation; multi-tenant design; pricing tiers
Sales team resists (lower upfront commissions)	Compensation plan based on ACV/ARR

Lessons

Business-model transitions move revenue and cash in time; the dip must be funded; recurring revenue is valued more highly only if retention is strong; incentives and metrics must change with the model.

122.2 Case 15 — An insurer underwrites a commercial property and business interruption risk

Background. Arabian Mutual Insurance (fictional) receives a broker submission for property damage (PD) and business interruption (BI) cover for a food-processing factory (fictional) in an industrial city.

Participants. Insured (factory owner); insurance broker; insurer's underwriter; risk engineer (survey); reinsurers (treaty and facultative).

Commercial objective. Insurer: write a profitable risk within appetite and capacity. Insured: comprehensive cover at a fair premium with workable conditions.

Submission

Item	Sum insured (USD m)
Buildings	18.0
Machinery and equipment	22.0
Stock (peak value with declaration clause)	9.0
BI: gross profit, 18-month indemnity period	21.0
Total	**70.0**

Loss history: no material claims in 5 years. Survey findings: sprinklers in production halls but **not** in the finished-goods warehouse; good hot-work permit system; thermographic inspections overdue; site 2 km from a seasonal flood channel (moderate exposure).

Probable maximum loss (PML)

Worst credible single event: fire spreading from warehouse into the adjacent production hall, affecting 60% of physical values and stopping production for 12 months: PML ≈ 0.6 × (18 + 22 + 9) + BI 14.0 (12 months of gross profit) ≈ **USD 43.4m**.

Pricing (illustrative technical rates)

Component	Calculation	USD
PD base premium	49.0m × 0.10%	49,000
BI base premium	21.0m × 0.12%	25,200
Loading: no warehouse sprinklers	+15%	11,130
Discount: USD 100k PD deductible	−10%	(8,533)
Discount: clean loss history	−5%	(3,840)
Flood loading		6,000
Technical premium		**≈ 78,957**

Capacity and reinsurance

The insurer's net retention per risk is USD 5m (PML basis). It cedes the remainder through its surplus treaty and a facultative placement: ceded share ≈ (43.4 − 5.0) ÷ 43.4 ≈ **88%** of premium and losses; the insurer earns a ceding commission on the ceded premium (e.g., 20%).

Terms and conditions offered

- Deductibles: PD USD 100,000 per occurrence; BI 7-day waiting period.
- **Warranty:** automatic sprinklers to be installed in the warehouse within 9 months (premium reduced by 10% on completion).
- Condition: annual thermographic inspection of electrical installations; hot-work permits maintained.
- Flood sub-limit: USD 10m.
- Exclusions: standard (war, nuclear, wear and tear, cyber); supplier-extension BI for the main packaging supplier added with a USD 2m sub-limit for additional premium of USD 3,500.

Failure scenarios and controls

Scenario	Control
Fire in the unsprinklered warehouse before installation	Interim conditions: storage height limits, fire watch, extinguishers; warranty timeline
Underinsurance of stock at peak	Declaration clause and seasonal increase
BI indemnity period too short	Broker advised 18 months (replacement machines lead time ~10 months + customer recovery)
Accumulation with neighbouring insured sites (same industrial city)	Insurer monitors accumulation; catastrophe reinsurance

Outcome and lessons

The insured accepted; sprinklers were installed in month 7, reducing the premium. **Lessons:** underwriting combines engineering, finance and portfolio thinking; risk improvements reduce both premiums and the probability of loss; PML and reinsurance determine how much risk an insurer can accept; the insured's choice of sums insured and indemnity periods is as important as price.

PRACTICE · Practice questions on investment, corporate, technology and insurance deals

1. In Case 8, compute the investor's IRR if the exit is delayed to year 7 at the same equity value and total dividends of USD 3.5m (no earn-out).
2. In Case 10, what would pro forma leverage be if the price were USD 66m EV (other things equal)?
3. In Case 12, what is the approximate year-1 after-tax cash flow if the avoided tariff is USD 0.14/kWh?

4. In Case 14, at what churn rate per year would a SaaS customer's expected lifetime revenue equal the licence customer's 5-year revenue of USD 90k?
5. In Case 15, recompute the technical premium after sprinklers are installed (remove the 15% loading).

ANSWER · Answers to the practice questions on investment, corporate, technology and insurance deals

1. MOIC = (19.05 + 3.5) ÷ 9.6 = 2.35× over 7 years → IRR ≈ 2.35^(1/7) − 1 ≈ **13.0%** (timing of dividends ignored).
2. Uses rise by USD 6m → pro forma net debt 102.5 ÷ 32.5 = **3.15×** — close to the 3.25× lender limit.
3. Savings 1,650,000 × 0.14 = 231,000 − O&M 12,000 = 219,000; tax 20% × (219,000 − 75,000) = 28,800 → after-tax ≈ **USD 190,200**.
4. Expected lifetime revenue ≈ 18k ÷ churn = 90k → churn ≈ **20% per year** (lifetime 5 years). With churn below 20%, SaaS customers are worth more than licence customers over their lifetime (undiscounted).
5. Base 74,200 − deductible discount 10% = 66,780 − loss-history 5% = 63,441 + flood 6,000 ≈ **USD 69,441** (before the additional 10% sprinkler reduction promised, which would bring it to about USD 62,500 depending on how it is applied).

SUMMARY · Part XIX summary

- Real deals combine price, terms, documents, financing, risk transfer, legal protection and execution.
- Professionals structure deals around cash flows and risks, not only headline prices.
- Every case has failure scenarios; good deals include the controls before signing.
- Lessons repeat across industries: match financing to asset cycles, demand protection proportional to exposure, test the downside, and execute integration and operations carefully.

PART XXII

Advanced Business Thinking

التفكير المتقدم في الأعمال

Experienced professionals do not know more formulas than good graduates — they see more of the situation. They notice incentives behind statements, alternatives that were not mentioned, information one side has and the other lacks, effects that appear only later, and the difference between a good outcome and a good decision. This part collects the mental models that separate professional judgement from technical competence, each illustrated with business situations and a contrast between how a graduate and an experienced professional typically think.

LEARNING OBJECTIVES · **Learning objectives for Part XXII**

- Apply economic concepts — opportunity cost, incentives, agency problems, information asymmetry, moral hazard, adverse selection, transaction costs — to business decisions.
- Analyse competitive positioning, bargaining power, moats, network effects, scale and scope economies, switching costs and industry structure.
- Make decisions under uncertainty using expected value, scenarios, risk-adjusted returns and capital-allocation discipline.
- Recognise trade-offs, negotiation leverage and second-order effects.

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CHAPTER 123

Economic Thinking: Opportunity Cost, Incentives, Agency, Information and Transaction Costs

LEARNING OBJECTIVES · In this chapter

Seven economic concepts that explain much of business behaviour, each with a business example and the professional's angle.

123.1 Opportunity cost

The value of the best alternative given up. Every use of cash, capacity, management time or credit lines has an opportunity cost.

CASE STUDY · Warehouse space

A distributor uses 2,000 m² of its own warehouse to store slow-moving stock worth $400,000 that sells a few units a month. The graduate sees "no cost — we own the warehouse". The professional sees that the space could store fast-moving products generating $150,000 a year of gross profit, or be leased to a third party for $120,000 a year, and that $400,000 of cash is tied up. Decision: liquidate most of the slow stock at a discount.

123.2 Incentives

People respond to how they are measured and paid. Before trusting a recommendation, ask who benefits.

Situation	Incentive problem	Professional response
Salespeople paid commission on revenue	Discounting to close deals; selling to risky customers	Commission on gross margin, paid on collection
Buyers rewarded for "savings" vs last price	Choosing cheap but unreliable suppliers	Measure total cost of ownership and OTIF
Brokers paid on transaction value	Pushing deals regardless of quality	Independent verification; fee structures aligned with outcomes
Managers rewarded on annual EBITDA	Cutting maintenance and training	Balanced scorecard; multi-year metrics
Lenders' relationship managers rewarded on volume	Lending growth over quality	Risk-adjusted metrics; independent credit function

123.3 Principal–agent problems

An **agent** acts on behalf of a **principal** but may pursue its own interests: managers vs shareholders, employees vs employers, distributors vs manufacturers, fund managers vs investors, contractors vs clients. Tools: alignment of pay (equity, deferred bonuses), monitoring (audits, reporting), governance (independent boards), contracts (performance clauses), and reputation.

123.4 Information asymmetry

One party knows more than the other. Sellers of companies know more than buyers; borrowers know more than lenders; employees know more about their effort than managers.

Responses: due diligence, warranties and indemnities, screening (credit analysis), signalling (audited accounts, certifications, guarantees, owner co-investment), and contract design (earn-outs that pay only if performance materialises).

123.5 Moral hazard

After a contract is signed, a protected party may take more risk because someone else bears the consequences: an insured company neglecting fire safety; a borrower with limited liability gambling with the bank's money when close to insolvency; a distributor with guaranteed margins not pushing sales. **Responses:** deductibles and co-insurance, covenants and security, monitoring, performance-linked terms.

123.6 Adverse selection

Before a contract, the riskiest parties are the most eager to accept standard terms: borrowers who accept any rate may be the weakest; customers most eager for long credit terms may be those who cannot pay; insurance buyers with the worst risks buy the most cover. **Responses:** screening, risk-based pricing, collateral, references, probationary limits.

> **CASE STUDY · The "too eager" customer**
>
> A new buyer immediately accepts 120-day terms and a large initial order without negotiating price. The graduate is pleased. The professional asks why a buyer would accept without negotiation — and orders a credit check, which reveals two recent payment defaults and a court case. The order proceeds only against a confirmed L/C.

123.7 Transaction costs

The costs of finding partners, negotiating, contracting, monitoring and enforcing. They explain why firms make some things in-house and buy others (Coase, Williamson): when assets are specific, transactions frequent and uncertainty high, firms tend to integrate or use long-term contracts; when goods are standard, markets work well.

> **WORKED EXAMPLE · Make or buy logistics**
>
> A food manufacturer with specialised cold-chain needs, daily deliveries to supermarkets and penalties for late delivery may build its own fleet (high asset specificity and coordination needs) or sign a long-term dedicated contract with a 3PL; a manufacturer of standard packaged goods with flexible schedules may simply buy spot trucking.

بالعربية — التفكير الاقتصادي في الأعمال

المهني المتمرّس يسأل دائماً: ما تكلفة الفرصة البديلة؟ ومن المستفيد من هذه التوصية؟ هل لدى الطرف الآخر معلومات لا نملكها؟ هل سيغيّر الطرف المحمي سلوكه بعد التوقيع (الخطر الأخلاقي)؟ ولماذا يقبل هذا العميل شروطنا بسرعة (الاختيار العكسي)؟ وما تكاليف البحث والتفاوض والمتابعة والتنفيذ؟ هذه الأسئلة تكشف المخاطر التي لا تظهر في الجداول المالية.

PRACTICE · Practice questions

1. Identify the economic concept: (a) a CEO pursues acquisitions that increase company size and his pay but destroy value; (b) a company with credit insurance relaxes its credit checks; (c) only customers with poor credit apply for your no-deposit financing offer; (d) a manager keeps an unprofitable project because “we’ve already invested $3m”.
2. Design an incentive plan for a distributor that encourages both sales growth and payment discipline.

ANSWER · Answers to the practice questions

1. (a) Principal–agent problem (incentives misaligned with shareholders); (b) moral hazard; (c) adverse selection; (d) sunk-cost fallacy (ignoring opportunity cost; past costs are irrelevant).
2. Rebates based on annual purchases above targets, paid only on invoices settled within terms; additional rebate for on-time payment; reduced rebate or loss of exclusivity for overdue balances; marketing funds tied to sell-out data.

CHAPTER 124

Strategic Thinking: Positioning, Bargaining Power, Moats, Network Effects, Scale, Scope, Switching Costs and Industry Structure

LEARNING OBJECTIVES · In this chapter

How professionals assess where profits are made in an industry and whether a business can defend them.

124.1 Competitive positioning

A business must be clear about **where it plays** (customers, products, geographies, channels) and **how it wins** (lowest cost, distinct value, specialist focus, ecosystem). Being "stuck in the middle" — neither the cheapest nor clearly better — leads to price competition without advantage.

124.2 Bargaining power

Profit is divided between a firm, its customers and its suppliers according to bargaining power.

Power increases when…	Example
Few alternatives exist	A sole-source component supplier
Switching is costly	An ERP vendor with years of customer data and customisations
The buyer is large relative to the seller	A hypermarket chain buying from small food producers
The product is a large share of the buyer's costs	Steel for a pipe manufacturer (buyer negotiates hard)
The seller can integrate forward / buyer backward	A manufacturer threatening to sell directly
Information is asymmetric	An expert advisor vs an inexperienced client

124.3 Economic moats

Durable advantages that protect returns: **intangible assets** (brands, patents, licences — e.g., a scarce port operating concession), **cost advantages** (scale, location, proprietary processes), **switching costs**, **network effects**, and **efficient scale** (markets that support only a few players profitably, such as some regional infrastructure). Ask: how long would it take and how much would it cost a well-funded competitor to replicate this business?

124.4 Network effects

A product becomes more valuable as more people use it. **Direct** (messaging apps), **indirect/two-sided** (marketplaces: more buyers attract more sellers), **data network effects** (more usage improves the product). They create winner-take-most dynamics but are weaker than often claimed when multi-homing is easy (drivers and riders use several apps) or when local networks are separate.

124.5 Economies of scale and scope

Scale: unit costs fall with volume (fixed costs spread; purchasing power; specialisation). **Scope:** costs fall when related products share resources (same distribution network carrying several product lines; same kitchen producing multiple delivery brands; a bank cross-selling FX and trade finance to lending clients).

124.6 Switching costs

Financial (exit fees, new investments), procedural (learning, data migration, re-certification), relational (relationships, risk of disruption). High switching costs support pricing power and retention; companies build them through integration, data, training and long-term contracts — and buyers should anticipate them when choosing suppliers (negotiate exit terms upfront).

124.7 Industry structure

Profitability differs by industry structure: concentration, entry barriers, capital intensity, cyclicality, regulation, substitute threats and value-chain position. A strong company in a structurally bad industry often earns less than an average company in a good industry. Porter's Five Forces and value-chain profit pools help identify where profits concentrate (e.g., in airlines, profits historically concentrated in aircraft manufacturers, lessors and reservation systems more than in airlines).

124.8 Competitive intelligence

Legal and ethical gathering of information about competitors and markets: public filings, websites and job postings, trade data, customer and supplier interviews, trade shows, industry reports, patents, regulatory filings, price monitoring. Never obtain confidential information improperly or exchange competitively sensitive information with competitors (competition-law risk).

CASE STUDY · Graduate vs professional: entering a market

A logistics company considers launching a same-day delivery service in a Gulf city. **Graduate:** "The market is growing 25% a year; we can capture 5%." **Professional:** "Who captures the profits? Platforms own the customer relationship and squeeze couriers; riders multi-home; switching costs for merchants are low; scale economies favour the top two players who already have density. Our advantage would be B2B scheduled deliveries for industrial clients we already serve — less glamorous, but defensible."

PRACTICE · Practice questions

1. Identify the main moat (if any): (a) a port terminal concession for 30 years; (b) a mobile app for restaurant discounts; (c) a cement plant 300 km from the nearest competitor; (d) an accounting software used by 70% of local accountants.
2. A supplier tells you its product is unique, but you discover two alternatives with 3 months' qualification time. How does this change your negotiation?

ANSWER · Answers to the practice questions

1. (a) Licence/concession (intangible) + efficient scale; (b) weak — low switching costs, easy imitation (possibly local network effects); (c) cost/location advantage (transport costs protect local market); (d) network effects (accountants share know-how and formats) and switching costs.

2. Your BATNA improves: you can credibly start qualifying alternatives, negotiate price and terms more firmly, and include supply-security clauses; switching costs (3 months) mean you must start early.

CHAPTER 125

Decision-Making Under Uncertainty and the Professional Mindset

LEARNING OBJECTIVES · In this chapter

Expected value, scenarios, risk-adjusted returns, capital allocation, opportunity evaluation, strategic trade-offs, negotiation leverage and second-order effects — and a consolidated contrast between graduate and professional thinking.

125.1 Expected value — and its limits

Expected value (EV) weighs outcomes by probability. Good decisions maximise EV **subject to survival constraints**: a bet with positive EV that could bankrupt the company is a bad bet. Professionals look at the distribution, the worst case, reversibility, and correlation with other risks.

WORKED EXAMPLE · Two contracts

Contract A: 90% chance of +$1.0m, 10% chance of −$0.5m → EV +$0.85m. Contract B: 70% chance of +$3.0m, 30% chance of −$4.0m → EV +$0.9m. B has higher EV, but a 30% chance of a $4m loss — more than the company's equity of $3m. A professional chooses A, or restructures B (insurance, risk-sharing, staged commitments).

125.2 Scenario analysis and decision trees

Use scenarios for big decisions: define drivers, construct coherent worlds, assess outcomes, identify robust options and signposts. **Decision trees** structure sequential decisions with uncertainty (e.g., pilot first, then expand if results meet thresholds); the **value of information** is the improvement in expected value from learning before committing — often a reason to run pilots.

WORKED EXAMPLE · Staging reduces risk

Launching nationally costs $5m with a 50% chance of success (value $14m) and 50% of failure (value $0) → EV = 7.0 − 5.0 = **+$2.0m**. A $0.5m pilot reveals success or failure with 90% reliability. If the pilot is positive, launch (expected success probability rises to 90%); if negative, stop.

- Pilot positive (probability 0.5 × 0.9 + 0.5 × 0.1 = 0.5): launch EV = 0.9 × 14 − 5 = 7.6.
- Pilot negative (0.5): stop, value 0.
- EV with pilot = 0.5 × 7.6 − 0.5 = **+$3.3m** > $2.0m. The information from the pilot is worth about $1.8m (3.3 + 0.5 − 2.0) — far more than its $0.5m cost.

125.3 Risk-adjusted returns and capital allocation

Compare opportunities by return **relative to risk and capital**, not by headline profit: RAROC in banking, risk-adjusted NPV with appropriate discount rates, return on capital employed against WACC, payback under stress. Capital allocation choices — reinvest in the core, expand, acquire, pay down debt, pay dividends, buy back shares — should be made against a common hurdle and with discipline (post-investment reviews; stopping projects that fail milestones).

125.4 Evaluating opportunities: a professional checklist

1. What problem or demand does it serve, and how do we know?
2. Why us — what advantage do we bring?
3. What are the unit economics and the capital required?
4. What must be true for this to succeed? Which assumptions are riskiest?
5. What is the downside, and can we survive it?
6. How can we stage commitments and learn cheaply?
7. Who are the counterparties, and what are their incentives?
8. What contracts, guarantees, insurance or hedges protect us?
9. What second-order effects could follow?
10. What is the opportunity cost?

125.5 Strategic trade-offs

Strategy requires choosing what **not** to do: growth vs margin, control vs speed (own vs partner), flexibility vs commitment (spot vs long-term contracts), standardisation vs customisation, liquidity vs return. Making trade-offs explicit avoids incoherent strategies.

125.6 Negotiation leverage

Leverage comes from alternatives (BATNA), time pressure (who needs the deal sooner), information, the other side's constraints, and the ability to create value (variables they value more than you). Professionals build leverage before negotiating — e.g., qualifying a second supplier before renegotiating with the first.

125.7 Second-order effects

Ask "and then what?"

First-order effect	Second-order effects
Cut prices 10% to win share	Competitors match; margins fall industry-wide; customers expect lower prices permanently
Extend customer payment terms to boost sales	Working capital rises; borrowing increases; covenant pressure; riskier customers attracted
Cut maintenance to meet EBITDA target	Breakdowns later; lost production; higher repair costs
Push suppliers to 120-day terms	Weak suppliers fail or raise prices; supply risk increases
Aggressive bonus on revenue	Bad-quality sales; returns; disputes
Hedge 100% of forecast FX	Over-hedging if sales fall; losses on hedges without matching exposure

125.8 Graduate vs professional: a consolidated contrast

Situation	Typical graduate thinking	Experienced professional thinking
Big new order	Revenue and margin	Cash cycle, credit risk, capacity, concentration, financing, contract terms
Supplier with lowest price	Choose it	Landed cost, reliability, quality, payment security, dual sourcing
Profitable company in difficulty	Contradiction	Working capital, debt maturities, covenants, liquidity

Situation	Typical graduate thinking	Experienced professional thinking
Investment with high IRR	Approve	Size, risk, assumptions, downside, alternatives, staging
Customer accepts terms immediately	Good news	Why? Adverse selection — check credit
Market forecast of 25% growth	Use it	Who wrote it, what assumptions, who captures profits
A contract clause "standard"	Accept	Who bears what risk, enforceability, interaction with other clauses
Successful outcome	Proof of a good decision	Was it skill or luck? Would we make the same decision again?
Bad news	Wait for certainty	Communicate early with options
Disagreement with a senior colleague	Stay silent or argue emotionally	Present data and options respectfully

بالعربية — الفرق بين تفكير الخريج وتفكير المهني المتمرّس

الخريج يركز غالباً على الإيرادات والهامش والعائد المعلن، أما المهني المتمرّس فيسأل عن النقد ومواعيده، والمخاطر وأسوأ الاحتمالات، والحوافز وراء كل اقتراح، والمعلومات الناقصة، والآثار اللاحقة لكل قرار، والبدائل المتاحة. كما يفرّق بين القرار الجيد والنتيجة الجيدة، فقد تكون النتيجة جيدة بسبب الحظ رغم أن القرار كان سيئاً، والعكس صحيح. والهدف من هذه الموسوعة كلها هو بناء هذه الطريقة في التفكير.

PRACTICE · Practice questions

1. A project has 60% chance of +$2m and 40% chance of −$1.5m. Compute EV. Under what conditions would you still reject it?
2. Name three second-order effects of a bank sharply raising its lending rates to SMEs.
3. Your company can invest $10m in either (a) expanding a proven product line with IRR 16% and low risk, or (b) a new market with IRR 28% in the base case but high uncertainty. How would you decide?

ANSWER · Answers to the practice questions

1. EV = 1.2 − 0.6 = +**$0.6m**. Reject if a $1.5m loss threatens liquidity or covenants, if it is highly correlated with other risks the company already holds, if the capital has better risk-adjusted uses, or if the probabilities are unreliable and the downside is irreversible.
2. Weaker SMEs default more (adverse selection and higher burden), better SMEs move to other banks or capital sources, the bank's loan book shrinks or deteriorates, and suppliers to SMEs face payment delays.
3. Compare risk-adjusted returns (higher discount rate or scenario-weighted NPV for b), downside and survival, strategic value (option to grow), the ability to stage (b) with a pilot, capability fit, and portfolio balance. A common answer: fund (a) fully and stage (b) with a pilot budget and clear milestones.

SUMMARY · Part XXII summary

- Look for opportunity costs, incentives and hidden information in every situation.
- Agency, moral hazard and adverse selection explain many contract terms — design protections deliberately.
- Profitability depends on industry structure and bargaining power; durable moats protect it.

- Decide with expected values, scenarios and staging, subject to survival constraints.
- Always ask “and then what?” — second-order effects separate professionals from beginners.

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